

Industry ↴

942 Financial Services—Depository and Lending

942 Financial Services—Depository and Lending

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	942-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	942-10-15-2	Amended	Maintenance Update 2014-07 	03/17/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-10-05-1

The Financial Services—Depository and Lending Topic provides industry-specific accounting and reporting guidance for depository and lending financial institutions. This Topic includes the following Subtopics:

- a. Overall
- b. Balance Sheet
- c. Income Statement
- d. Statement of Cash Flows
- e. Notes to Financial Statements
- f. Financial Instruments
- g. Cash and Cash Equivalents
- h. Receivables
- i. Investments—Debt and Equity Securities
- j. Investments—Other
- k. Property, Plant, and Equipment
- l. Liabilities
- m. Debt
- n. Equity
- o. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- p. Other Expenses
- q. Income Taxes
- r. Business Combinations
- s. Consolidation.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

942-10-15-1

The Subtopics within the Financial Services—Depository and Lending Topic provide only incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Financial Services—Depository and Lending Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

- 942-10-15-2
- The guidance in the Financial Services—Depository and Lending Topic applies to all of the following entities:
- a. Finance companies, including finance company subsidiaries

b. Depository institutions insured by either:

1. The Federal Deposit Insurance Corporation's (FDIC's) Deposit Insurance Fund

2. The National Credit Union Administration's National Credit Union Share Insurance Fund.

c. Bank holding companies

d. Savings and loan association holding companies

e. Branches and agencies of foreign banks regulated by U.S. federal banking regulatory agencies

f. State-chartered banks, credit unions, and savings institutions that are not federally insured

g. Foreign financial institutions whose financial statements are purported to be prepared in conformity with accounting principles generally accepted in the United States

h. Mortgage companies

i. Corporate credit unions.
- 942-10-15-3
- For purposes of this Topic, financial institution (or institution) denotes a bank, credit union, finance company, mortgage company, or savings institution.

S00 Status

i

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-10-S00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
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942-10-S99-1	Amended	Accounting Standards Update No. 2021-06	08/09/2021
942-10-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019
942-10-S99-2	Amended	Accounting Standards Update No. 2019-07	07/26/2019

S15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Application of Regulation S-X Rules 9-01 Through 9-06

942-10-S15-1 See paragraph [942-10-S99-1](#), Regulation S-X Rule 9-01, for applicability of Rules 9-01 through 9-06 to bank holding companies.

> Application of Article 9 of Regulation S-X and Industry Guide 3

942-10-S15-2 See paragraph [942-10-S99-4](#), SAB Topic 11.K, for SEC Staff views regarding the applicability of Article 9 and Guide 3 to bank and nonbank holding companies.

S45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Applicability of General Rules to Bank Holding Companies

942-10-S45-1 See paragraph [942-10-S99-2](#), Regulation S-X Rule 9-02, for rules regarding the applicability of general rules in Articles 1, 2, 3, 3A, and 4 of Regulation S-X.

> Regulatory-Assisted Acquisitions

942-10-S45-2 See paragraph [942-10-S99-6](#), SEC Observer Comment: Regulatory-Assisted Acquisitions, for SEC Staff views regarding presentation of regulatory assistance.

S50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Regulatory-Assisted Acquisitions

942-10-S50-1 See paragraph [942-10-S99-6](#), SEC Observer Comment: Regulatory-Assisted Acquisitions, for SEC Staff views regarding disclosure of regulatory assistance.

> Assistance from Federal Financial Institution Regulatory Agencies

942-10-S50-2 See paragraph [942-10-S99-5](#), SAB Topic 11.N, for SEC Staff views regarding an entity receiving financial assistance from a federal regulatory agency.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 9-01, Application of Rules 9-01 to 9-07

942-10-S99-1 The following is the text of Regulation S-X Rule 9-01, Application of Rules 9-01 to 9-07 (17 CFR 210.9-01).

The consolidated financial statements filed for bank holding companies, savings and loan holding companies, and the financial statements of banks and savings and loan associations, must apply the guidance in this article in filings with the Commission.

[85 FR 66140, Oct. 16, 2020]

· · > Regulation S-X Rule 9-02, General Requirement

942-10-S99-2 The following is the text of Regulation S-X Rule 9-02, General Requirement (17 CFR 210.9-02).

The requirements of the general rules in §§ 210.1 to 210.4 (Articles 1, 2, 3, 3A and 4) should be complied with where applicable.

> SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 11.H.1, Disclosures by Bank Holding Companies Regarding Certain Foreign Loans

942-10-S99-3 The following is the text of SAB Topic 11.H.1, Disclosures by Bank Holding Companies Regarding Certain Foreign Loans.

Facts: Certain foreign countries experiencing liquidity problems, by agreement with U.S. banks, have instituted arrangements whereby borrowers in the foreign country may remit local currency to the foreign country's central bank, in return for the central bank's assumption of the borrowers' non-local currency obligations to the U.S. banks. The local currency is held on deposit at the central bank, for the account of the U.S. banks, and may be subject to relending to other borrowers in the country. Ultimate repayment of the obligations to the U.S. banks, in the requisite non-local currency, may not be due until a number of years hence.

Question: What disclosures are appropriate regarding deposit/relending arrangements of this general type?

Interpretive Response: The staff emphasizes that it is the responsibility of each registrant to determine the appropriate financial statement treatment and classification of foreign outstandings. The facts and circumstances surrounding deposit/relending arrangements should be carefully analyzed to determine whether the local currency payments to the foreign central bank represent collections of outstandings for financial reporting purposes, and whether such outstandings should be classified as nonaccrual, past due or restructured loans pursuant to Item III.C.1. of Industry Guide 3, Statistical Disclosure by Bank Holding Companies ("Guide 3").

The staff believes, however, that the impact of deposit/relending arrangements covering significant amounts of outstandings to a foreign country should be disclosed pursuant to Guide 3, Item III.C.3., Instruction (6)(a). ^{FN1} The disclosures should include a general description of the arrangements and, if significant, the amounts of interest income recognized for financial reporting purposes which has not been remitted in the requisite non-local currency to the U.S. bank.

FN1 Instruction (6)(a) calls for description of the nature and impact of developments in countries experiencing liquidity problems which are expected to have a material impact on timely repayment of principal or interest. Additionally, Instruction (6)(d)(ii) to Item III.C.3. calls for disclosure of commitments to relend, or to maintain on deposit, arising in connection with certain restructurings of foreign outstanding.

· · > SAB Topic 11.K, Application of Article 9 and Guide 3

942-10-S99-4 The following is the text of SAB Topic 11.K, Application of Article 9 and Guide 3.

Facts: Article 9 of Regulation S-X specifies the form and content of and requirements for financial statements for bank holding companies filing with the Commission. Similarly, bank holding companies disclose supplemental statistical disclosures in filings, pursuant to Industry Guide 3. No specific guidance as to the form and content of financial statements or supplemental disclosures has been promulgated for registrants which are not bank holding companies but which are engaged in similar lending and deposit activities. ^{FN4}

FN4 The Commission staff has been considering the need for more specific guidance in the area but believes that the FASB project on financial instruments may make Commission action in this area unnecessary. In the interim, this bulletin provides the staff's views with respect to filings by similar entities such as saving and loan holding companies.

Question: Should non-bank holding company registrants with material amounts of lending and deposit activities file financial statements and make disclosures called for by Article 9 of Regulation S-X and Industry Guide 3?

Interpretive Response: In the staff's view, Article 9 and Guide 3, while applying literally only to bank holding companies, provide useful guidance to certain other registrants, including savings and loan holding companies, on certain disclosures relevant to an understanding of the registrant's operations. Thus, to the extent particular guidance is relevant and material to the operations of an entity, the staff believes the specified information, or comparable data, should be provided.

For example, in accordance with Guide 3, bank holding companies disclose information about yields and costs of various assets and liabilities. Further, bank holding companies provide certain information about maturities and repricing characteristics of various assets and liabilities. Such companies also disclose risk elements, such as nonaccrual and past due items in the lending portfolio. The staff believes that this information and other relevant data would be material to a description of business of other registrants with material lending and deposit activities and accordingly, the specified information and/or comparable data (such as scheduled item disclosure for risk elements) should be provided.

In contrast, other requirements of Article 9 and Guide 3 may not be material or relevant to an understanding of the financial statements of some financial institutions. For example, bank holding companies present average balance sheet information, because period-end statements might not be representative of bank activity throughout the year. Some financial institutions other than bank holding companies may determine that average balance sheet disclosure does not

provide significant additional information. Others may determine that assets and liabilities are subject to sufficient volatility that average balance information should be presented.

Pursuant to Article 9, the income statements of bank holding companies use a "net interest income" presentation. Similarly, bank holding companies present the aggregate market value, at the balance sheet date, of investment securities, on the face of the balance sheet. The staff believes that such disclosures and other relevant information should also be provided by other registrants with material lending and deposit activities.

· · > SAB Topic 11.N, Disclosures of the Impact of Assistance from Federal Financial Institution Regulatory Agencies

942-10-S99-5 The following is the text of SAB Topic 11.N, Disclosures of the Impact of Assistance from Federal Financial Institution Regulatory Agencies.

Facts: An entity receives financial assistance from a federal regulatory agency in conjunction with either an acquisition of a troubled financial institution, transfer of nonperforming assets to a newly-formed entity, or other reorganization.

Question: What are the disclosure implications of the existence of regulatory assistance?

Interpretive Response: The staff believes that users of financial statements must be able to assess the impact of credit and other risks on a company following a regulatory assisted acquisition, transfer or other reorganization on a basis comparable to that disclosed by other institutions, i.e., as if the assistance did not exist. In this regard, the staff believes that the amount of regulatory assistance should be disclosed separately and should be separately identified in the statistical information furnished pursuant to Industry Guide 3, to the extent it impacts such information.^{FN10} ^{FN11} Further, the nature, extent and impact of such assistance needs to be fully discussed in Management's Discussion and Analysis.^{FN12}

FN10 The staff has previously expressed its views regarding acceptable methods of compliance with this principle in the minutes of EITF Issue 88-19, and an announcement by the SEC Observer to the EITF at the February 23, 1989 meeting.

FN11 See EITF Issue 88-19 for guidance on the appropriate period in which to record certain types of regulatory assistance.

FN12 See Section 501.06.c. of the Financial Reporting Codification for further discussion of the MD&A disclosures of the effects of regulatory assistance.

· > Comments Made by SEC Observer at Emerging Issues Task Force (EITF) Meetings

· · > SEC Observer Comment: Regulatory-Assisted Acquisitions

942-10-S99-6 The following is the text of SEC Observer Comment: Regulatory-Assisted Acquisitions.

The SEC staff's display requirements would not require an entity, subsequent to the acquisition date, to adjust the balance sheet amounts of the underlying asset and the regulatory assistance if the value of the underlying asset had increased above its cost basis. The SEC staff would not insist that such adjustments be reflected in the balance sheet because to do so would be to reflect the underlying asset at an amount different from that appropriate under GAAP. However, disclosure of such changes in value may be appropriate. The SEC staff's display requirements would require an adjustment to the carrying amount of the underlying asset only if such adjustment is required under GAAP (for example, for impairment in the value of the underlying asset).

942 Financial Services—Depository and Lending

210 Balance Sheet

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-210-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	942-210-45-3	Amended	Accounting Standards Update No. 2018-09	07/16/2018
	942-210-45-3A	Added	Maintenance Update 2017-21 	12/22/2017
	942-210-50-1	Added	Maintenance Update 2017-21 	12/22/2017

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-210-05-1	This Subtopic provides guidance on the offsetting and combining of amounts in the balance sheet of a financial institution.
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15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

942-210-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#).

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Offsetting Amounts in the Balance Sheet

· > Credit Life, Credit Accident, and Health Policies

942-210-45-1 Unearned premiums and unpaid claims on certain insurance coverage issued to finance customers by a subsidiary may represent intra-entity items because premiums are added to the consumer loan account, which is in turn classified as a receivable until paid, and most or all of the payments on claims are applied to reduce the related finance receivables. Therefore, unearned premiums and unpaid claims on certain credit life and credit accident and health insurance policies issued to finance customers shall be deducted from finance receivables in the consolidated balance sheet. Alternatively, the balance sheet may present only the net finance receivables if the notes to the financial statements contain sufficient disclosure of unearned premiums and unpaid claims and the allowance

for losses. Unearned premiums and unpaid claims for credit life and accident and health coverage shall not be applied in consolidation against related finance receivables for which the related receivables are assets of unrelated entities. In those circumstances, such amounts shall be presented as liabilities.

· > Property Insurance and Term Life Policies

942-210-45-2 In the consolidated financial statements, unpaid claims for property insurance and level term life insurance shall not be offset against related finance receivables because finance companies generally do not receive substantially all proceeds of such claims. That prohibition also applies to credit life and accident and health coverage written on policies for which the related receivables are assets of unrelated entities. In those circumstances, such amounts shall be presented as liabilities.

· > Repurchase and Reverse Repurchase Agreements

942-210-45-3 See Section [210-20-45](#) for guidance on offsetting.

· > Reciprocal Account Balances

942-210-45-3A A financial institution that accepts deposits may have balances due from the same financial institution from which it has accepted a deposit, also called reciprocal balances. Reciprocal account balances shall be offset if they will be offset in the process of collection or payment. Overdrafts of such accounts shall be reclassified as liabilities, unless the financial institution has other accounts at the same financial institution against which such overdrafts can be offset.

> Other

942-210-45-4 If deposits in other institutions are material, then deposits shall be presented as a separate amount in the balance sheet.

50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Cash Restrictions

942-210-50-1 Restrictions on the use or availability of certain cash balances, such as deposits with a Federal Reserve Bank, Federal Home Loan Bank, or correspondent financial institutions to meet reserve requirements or deposits under formal compensating balance agreements, shall be disclosed in the notes to the financial statements.

S00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-210-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-210-S99-1	Amended	Accounting Standards Update No. 2021-06	08/09/2021
942-210-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019
942-210-S99-1	Amended	Accounting Standards Update No. 2009-07	09/15/2009
942-210-S99-1	Amended	Accounting Standards Update No. 2010-21	08/02/2010

S20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Associate

See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03(7)(e)(4), for the definition of associate for the purpose of Regulation S-X Rule 9-03.

Executive Officers

See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03(7)(e)(4), for the definition of executive officers for the purpose of Regulation S-X Rule 9-03.

Immediate Family

See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03(7)(e)(4), for the definition of immediate family for the purpose of Regulation S-X Rule 9-03.

Ordinary Course of Business

See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03(7)(e)(4), for the definition of ordinary course of business for the purpose of Regulation S-X Rule 9-03.

S45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Items Required to Be Presented on the Face of the Balance Sheet or in the Notes Thereto

942-210-S45-1 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03, for rules on items required to be presented on the face of the balance sheet or in the related financial statement footnotes.

S50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Items Required to Be Disclosed in Financial Statement Footnotes

942-210-S50-1 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03, for rules on items required to be disclosed in the financial statement footnotes.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 9-03, Balance Sheets

942-210-S99-1 The following is the text of Regulation S-X Rule 9-03, Balance Sheets (17 CFR 210.9-03).

The purpose of this rule is to indicate the various items which, if applicable, should appear on the face of the balance sheets or in the notes thereto.

ASSETS

1. Cash and due from banks. The amounts in this caption should include all noninterest bearing deposits with other banks.
 - (a) Any withdrawal and usage restrictions (including requirements of the Federal Reserve to maintain certain average reserve balances) or compensating balance requirements should be disclosed (see § 210.5-02-1).
2. Interest-bearing deposits in other banks.
3. Federal funds sold and securities purchased under resale agreements or similar arrangements.
4. Trading account assets. Include securities or any other investments held for trading purposes only.
5. Other short-term investments.
6. Investment securities. Include securities held for investment only. Disclose the aggregate book value of investment securities; show on the balance sheet the aggregate market value at the balance sheet date. The aggregate amounts should include securities pledged, loaned or sold under repurchase agreements and similar arrangements; borrowed securities and securities purchased under resale agreements or similar arrangements should be excluded.
7. Loans. Disclose separately (1) total loans, (2) the related allowance for losses and (3) unearned income.

(a)-(d) [Reserved]

(e)(1)(i) As of each balance sheet date, disclose in a note the aggregate dollar amount of loans (exclusive of loans to any such persons which in the aggregate do not exceed \$60,000 during the latest year) made by the registrant or any of its subsidiaries to directors, [executive officers](#), or principal holders of equity securities (§ 210.1-02) of the registrant or any of its significant subsidiaries (§ 210.1-02), or to any [associate](#) of such persons. For the latest fiscal year, an analysis of activity with respect to such aggregate loans to related parties should be provided. The analysis should include the aggregate amount at the beginning of the period, new loans, repayments, and other changes. (Other changes, if significant, should be explained.)

(ii) This disclosure need not be furnished when the aggregate amount of such loans at the balance sheet date (or with respect to the latest fiscal year, the maximum amount outstanding during the period) does not exceed 5 percent of stockholders equity at the balance sheet date.

(2) If a significant portion of the aggregate amount of loans outstanding at the end of the fiscal year disclosed pursuant to (e)(1)(i) above relates to loans that are disclosed as past due, nonaccrual, or troubled debt restructurings in the consolidated financial statements, so state and disclose the aggregate amounts of such loans along with such other information necessary to an understanding of the effects of the transactions on the financial statements.

(3) Notwithstanding the aggregate disclosure called for by paragraph (e)(1) of this section, if any loans were not made in the [ordinary course of business](#) during any period for which a statement of comprehensive income is required to be filed, provide an appropriate description of each such loan.

(4) Definition of terms. For purposes of this rule, the following definitions shall apply:

Associate means (i) a corporation, venture or organization of which such person is a general partner or is, directly or indirectly, the beneficial owner of 10 percent or more of any class of equity securities; (ii) any trust or other estate in which such person has a substantial beneficial interest or for which such person serves as trustee or in a similar capacity and (iii) any member of the [immediate family](#) of any of the foregoing persons.

Executive officers means the president, any vice president in charge of a principal business unit, division or function (such as loans, investments, operations, administration or finance), and any other officer or person who performs similar policymaking functions.

Immediate Family means such person's spouse; parents; children; siblings; mothers and fathers-in-law; sons and daughters-in-law; and brothers and sisters-in-law.

Ordinary course of business means those loans which were made on substantially the same terms, including interest rate and collateral, as those prevailing at the same time for comparable transactions with unrelated persons and did not involve more than the normal risk of collectibility or present other unfavorable features.

8. Premises and equipment.

9. Due from customers on acceptances. Include amounts receivable from customers on unmatured drafts and bills of exchange that have been accepted by a bank subsidiary or by other banks for the account of a subsidiary and that are outstanding—that is, not held by a subsidiary bank, on the reporting date. (If held by a bank subsidiary, they should be reported as "loans" under § 210.9-03.7.)

10. Other assets. Disclose separately on the balance sheet or in a note thereto any of the following assets or any other asset the amount of which exceeds thirty percent of stockholders' equity. The remaining assets may be shown as one amount.

(1) Goodwill.

(2) Other intangible assets (net of amortization).

(3) Investments in and indebtedness of affiliates and other persons.

(4) Other real estate.

(a) Disclose in a note the basis at which other real estate is carried. A reduction to fair market value from the carrying value of the related loan at the time of acquisition shall be accounted for as a loan loss. Any allowance for losses on other real estate which has been established subsequent to acquisition should be deducted from other real estate. For each period for which a statement of comprehensive income is required, disclosures should be made in a note as to the changes in the allowances, including balance at beginning and end of period, provision charged to income, and losses charged to the allowance.

11. Total assets.

LIABILITIES AND STOCKHOLDERS' EQUITY

Liabilities

12. Deposits. Disclose separately the amounts of noninterest bearing deposits and interest bearing deposits.

(a) The amount of noninterest bearing deposits and interest bearing deposits in foreign banking offices must be presented if the disclosure provided by §210.9-05 is required.

13. Short-term borrowing. Disclose separately on the balance sheet or in a note, amounts payable for

- (1) Federal funds purchased and securities sold under agreements to repurchase;
- (2) commercial paper, and
- (3) other short-term borrowings.

(a) Disclose any unused lines of credit for short-term financing: (§ 210.5-02.19(b)).

14. Bank acceptances outstanding. Disclose the aggregate of unmatured drafts and bills of exchange accepted by a bank subsidiary, or by some other bank as its agent, less the amount of such acceptances acquired by the bank subsidiary through discount or purchase.

15. Other liabilities. Disclose separately on the balance sheet or in a note any of the following liabilities or any other items which are individually in excess of thirty percent of stockholders' equity (except that amounts in excess of 5 percent of stockholders' equity should be disclosed with respect to item (4)). The remaining items may be shown as one amount.

- (1) Income taxes payable.
- (2) Deferred income taxes.
- (3) Indebtedness to affiliates and other persons the investments in which are accounted for by the equity method.
- (4) Indebtedness to directors, executive officers, and principal holders of equity securities of the registrant or any of its significant subsidiaries (the guidance in § 210.9-03.7(e) shall be used to identify related parties for purposes of this disclosure).
- (5) Accounts payable and accrued expenses.

16. Long-term debt. Disclose in a note the information required by § 210.5-02.22.

17. Commitments and contingent liabilities.

Redeemable Preferred Stocks.

18. Preferred stocks subject to mandatory redemption requirements or whose redemption is outside the control of the issuer. See § 210.5-02.27.

Non-redeemable Preferred Stocks.

19. Preferred stocks which are not redeemable or are redeemable solely at the option of the issuer. See § 210.5-02.28.

Common Stocks.

20. Common stocks. See § 210.5-02.29.
Other Stockholders' Equity.
21. Other stockholders' equity. See § 210.5-02.30.
Noncontrolling Interests
22. Noncontrolling interests in consolidated subsidiaries. The disclosure requirements of §210.5-02.31 shall be followed.
23. Total liabilities and equity.

[48 FR 11107, Mar. 16, 1983, as amended at 48 FR 37612, Aug. 19, 1983; 50 FR 25215, June 18, 1985; 74 FR 18616, Apr. 23, 2009; 83 FR 50205 Oct. 4, 2018; 85 FR 66140, Oct. 16, 2020]

942 Financial Services—Depository and Lending

220 Income Statement—Reporting Comprehensive Income

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-220-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-220-S25-1	Added	Maintenance Update 2017-19 	11/15/2017
942-220-S45-1	Added	Maintenance Update 2017-19 	11/15/2017
942-220-S45-2	Added	Maintenance Update 2017-19 	11/15/2017
942-220-S50-1	Added	Maintenance Update 2017-19 	11/15/2017
942-220-S50-2	Added	Maintenance Update 2017-19 	11/15/2017
942-220-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019
942-220-S99-1	Added	Maintenance Update 2017-19 	11/15/2017
942-220-S99-2	Added	Maintenance Update 2017-19 	11/15/2017

S25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Tax Equivalent Adjustment in Financial Statements of Bank Holding Companies

942-220-S25-1 See paragraph [942-220-S99-2](#), SAB Topic 11.G, Question 1, for SEC Staff views on including tax equivalent adjustments in the income statement and footnotes.

S45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Items Required to Be Presented on the Income Statement or Related Financial Statement Footnotes

942-220-S45-1 See paragraph [942-220-S99-1](#), Regulation S-X Rule 9-04, for rules on items required to be presented on the income statement or related financial statement footnotes.

> Tax Equivalent Adjustment in Financial Statements of Bank Holding Companies

942-220-S45-2 See paragraph [942-220-S99-2](#), SAB Topic 11.G, Question 2, for SEC Staff views on presentation of tax equivalent adjustments in the income statement.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Items Required to Be Disclosed in the Financial Statement Footnotes

942-220-S50-1 See paragraph [942-220-S99-1](#), Regulation S-X Rule 9-04, for rules on items required to be disclosed in the financial statement footnotes.

> Tax Equivalent Adjustments in Financial Statements of Bank Holding Companies

942-220-S50-2 See paragraph [942-220-S99-2](#), SAB Topic 11.G, Question 1, for SEC Staff views on disclosures related to tax equivalent adjustments.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 9-04, Statements of Comprehensive Income

942-220-S99-1 The following is the text of Regulation S-X Rule 9-04, Statements of Comprehensive Income (17 CFR 210.9-04).

The purpose of this section is to indicate the various items which, if applicable, should appear on the face of the statement of comprehensive income or in the notes thereto.

1. Interest and fees on loans. Include commitment and origination fees, late charges and current amortization of premium and accretion of discount on loans which are related to or are an adjustment of the loan interest rate.

2. Interest and dividends on investment securities. Disclosure separately

(1) taxable interest income,

(2) nontaxable interest income, and

(3) dividends.

3. Trading account interest.

4. Other interest income.

5. Total interest income (total of lines 1 through 4).

6. Interest on deposits.

7. Interest on short-term borrowings.

8. Interest on long-term debt.

9. Total interest expense (total of lines 6 through 8).

10. Net interest income (line 5 minus line 9).

11. Provision for loan losses.

12. Net interest income after provision for loan losses.

13. Other income. Disclose separately any of the following amounts, or any other item of other income, which exceed one percent of the aggregate of total interest income and other income. The remaining amounts may be shown as one amount, except for investment securities gains or losses which shall be shown separately regardless of size.

(a) Commissions and fees and fiduciary activities.

(b) Commissions, broker's fees and markups on securities underwriting and other securities activities.

(c) Insurance commissions, fees and premiums.

(d) Fees for other customer services.

(e) Profit or loss on transactions in securities in dealer trading account.

(f) Equity in earnings of unconsolidated subsidiaries and 50 percent or less owned persons.

(g) Gains or losses on disposition of equity in securities of subsidiaries or 50 percent or less owned persons.

(h) Investment securities gains or losses. Related income taxes shall be disclosed.

14. Other expenses. Disclose separately any of the following amounts, or any other item of other expense, which exceed one percent of the aggregate of total interest income and other income. The remaining amounts may be shown as one amount.

(a) Salaries and employee benefits.

(b) Net occupancy expense of premises.

(c) [Reserved]

(d) Net cost of operation of other real estate (including provisions for real estate losses, rental income and gains and losses on sales of real estate).

15. Income or loss before income tax expense.

16. Income tax expense. The information required by § 210.4-08(h) should be disclosed.

17-19. [Reserved]

20. Net income or loss.

21. Net income attributable to the noncontrolling interest.

22. Net income attributable to the controlling interest.

23. Other comprehensive income. State separately the components of and the total for other comprehensive income. Present the components either net of related tax effects or before related tax effects with one amount shown for the aggregate income tax expense or benefit. State the amount of income tax expense or benefit allocated to each component, including reclassification adjustments, in the statement of comprehensive income or in a note.

24. Comprehensive income.

25. Comprehensive income attributable to the noncontrolling interest.

26. Comprehensive income attributable to the controlling interest.

27. Earnings per share data.

[48 FR 11107, Mar. 16, 1983, as amended at 50 FR 25215, June 18, 1985; 74 FR 18616, Apr. 23, 2009; 83 FR 50205, Oct. 4, 2018]

> SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 11.G, Tax Equivalent Adjustments in Financial Statements of Bank Holding Companies

942-220-S99-2 The following the text of SAB Topic 11.G, Tax Equivalent Adjustments in Financial Statements of Bank Holding Companies.

Facts: Bank subsidiaries of bank holding companies frequently hold substantial amounts of state and municipal bonds, interest income from which is exempt from Federal income taxes. Because of the tax exemption the stated yield on these securities is lower than the yield on securities with similar risk and maturity characteristics whose interest is subject to Federal tax. In order to make the interest income and resultant yields on tax exempt obligations comparable to those on taxable investments and loans, a "tax equivalent adjustment" is often added to interest income when presented in analytical tables or charts. When the data presented also includes income taxes, a corresponding amount is added to income tax expense so that there is no effect on net income. Adjustment may also be made for the tax equivalent effect of exemption from state and local taxes.

Question 1: Is the concept of the tax equivalent adjustment appropriate for inclusion in financial statements and related notes?

Interpretive Response: No. The tax equivalent adjustment represents a credit to interest income which is not actually earned and realized and a corresponding charge to taxes (or other expense) which will never be paid. Consequently, it should not be reflected on the income statement or in notes to financial statements included in reports to shareholders or in a report or registration statement filed with the Commission.

Question 2: May amounts representing tax equivalent adjustments be included in the body of a statement of income provided they are designated as not being included in the totals and

balances on the statement?

Interpretive Response: No. The tabular format of a statement develops information in an orderly manner which becomes confusing when additional numbers not an integral part of the statement are inserted into it.

942 Financial Services—Depository and Lending

225 Income Statement

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-225-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-225-S25-1	Superseded	Maintenance Update 2017-19 	11/15/2017
942-225-S45-1	Superseded	Maintenance Update 2017-19 	11/15/2017
942-225-S45-2	Superseded	Maintenance Update 2017-19 	11/15/2017
942-225-S50-1	Superseded	Maintenance Update 2017-19 	11/15/2017
942-225-S50-2	Superseded	Maintenance Update 2017-19 	11/15/2017
942-225-S99-1	Superseded	Maintenance Update 2017-19 	11/15/2017
942-225-S99-1	Amended	Accounting Standards Update No. 2010-21	08/02/2010
942-225-S99-2	Superseded	Maintenance Update 2017-19 	11/15/2017

S25 Recognition

- i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

942-225-S25-1 [Paragraph superseded by Maintenance Update 2017-19.](#)

S45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

942-225-S45-1 [Paragraph superseded by Maintenance Update 2017-19.](#)

942-225-S45-2 [Paragraph superseded by Maintenance Update 2017-19.](#)

S50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 942-225-S50-1 [Paragraph superseded by Maintenance Update 2017-19.](#)
- 942-225-S50-2 [Paragraph superseded by Maintenance Update 2017-19.](#)

S99 SEC Materials

General Note:As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

- 942-225-S99-1 [Paragraph superseded by Maintenance Update 2017-19.](#)
- 942-225-S99-2 [Paragraph superseded by Maintenance Update 2017-19.](#)

942 Financial Services—Depository and Lending

230 Statement of Cash Flows

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-230-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	942-230-45-4	Added	Accounting Standards Update No. 2019-01	03/05/2019

942-230-55-2	Amended	Maintenance Update 2017-06 	04/07/2017
942-230-55-2	Amended	Accounting Standards Update No. 2016-13	06/16/2016
942-230-55-3	Superseded	Maintenance Update 2017-06 	04/07/2017
942-230-55-4	Amended	Accounting Standards Update No. 2016-13	06/16/2016

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 942-230-05-1** This Subtopic addresses the reporting of cash receipts and payments by financial institutions in the cash flow statement. It provides an illustration of the statement of cash flows under the direct method for a financial institution.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 942-230-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Cash

Consistent with common usage, cash includes not only currency on hand but demand deposits with banks or other financial institutions. Cash also includes other kinds of accounts that have the general characteristics of demand deposits in that the customer may deposit additional funds at any time and also effectively may withdraw funds at any time without prior notice or penalty. All charges and credits to those accounts are cash receipts or payments to both the entity owning the account and the bank holding it. For example, a bank's granting of a loan by crediting the proceeds to a customer's demand deposit account is a cash payment by the bank and a cash receipt of the customer when the entry is made.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

942-230-45-1 Banks, savings institutions, and credit unions are not required to report gross amounts of cash receipts and cash payments for any of the following:

- a. Deposits placed with other financial institutions and withdrawals of deposits
- b. Time deposits accepted and repayments of deposits
- c. Loans made to customers and principal collections of loans.

942-230-45-2 When those entities constitute part of a consolidated entity, net amounts of cash receipts and cash payments for deposit or lending activities of those entities shall be reported separate from gross amounts of cash receipts and cash payments for other investing and financing activities of the

consolidated entity, including those of a subsidiary of a bank, savings institution, or credit union that is not itself a bank, savings institution, or credit union.

942-230-45-3 See Section [230-10-45](#) for additional presentation guidance.

942-230-45-4 Entities within the scope of this Subtopic shall classify principal payments received under sales-type leases and direct financing leases within investing activities.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Statement of Cash Flows under the Direct Method for a Financial Institution

942-230-55-1 This Example illustrates the guidance in paragraphs [230-10-45-25 through 45-26](#) and [230-10-45-28 through 45-32](#) for a statement of cash flows under the direct method for a financial institution. The Example is intended as an illustration only. Also, the illustration of the reconciliation of net income to net cash provided by operating activities may provide detailed information in excess of that required for a meaningful presentation. Other formats or levels of detail may be appropriate for particular circumstances.

942-230-55-2 Presented below is a statement of cash flows for Financial Institution, Inc., a U.S. corporation that provides a broad range of financial services. This statement of cash flows illustrates the direct method of presenting cash flows from operating activities, as encouraged in paragraph [230-10-45-25](#).

FINANCIAL INSTITUTION, INC.
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 19X1

Cash flows from operating activities:		
Interest received	\$ 5,350	
Fees and commissions received	1,320	
Proceeds from sales of trading securities	20,550	
Purchase of trading securities	(21,075)	
Financing revenue received under leases	60	
Interest paid	(3,925)	
Cash paid to suppliers and employees	(795)	
Income taxes paid	(471)	
Net cash provided by operating activities		\$ 1,014
Cash flows from investing activities:		
Proceeds from sales of investment securities	2,225	
Purchase of investment securities	(4,000)	
Net increase in credit card receivables	(1,300)	
Net decrease in customer loans with maturities of 3 months or less	2,250	
Principal collected on longer term loans	26,550	
Longer term loans made to customers	(36,300)	
Purchase of assets to be leased	(1,500)	
Principal payments received under leases	107	
Capital expenditures	(450)	
Proceeds from sale of property, plant, and equipment	260	
Net cash used in investing activities		(12,158)
Cash flows from financing activities:		
Net increase in demand deposits, negotiable order of withdrawal accounts, and savings accounts	3,000	
Proceeds from sales of certificates of deposit	63,000	
Payments for maturing certificates of deposit	(61,000)	
Net increase in federal funds purchased	4,500	
Net increase in 90-day borrowings	50	
Proceeds from issuance of nonrecourse debt	600	
Principal payment on nonrecourse debt	(20)	
Proceeds from issuance of 6-month note	100	
Proceeds from issuance of long-term debt	1,000	
Repayment of long-term debt	(200)	
Proceeds from issuance of common stock	350	
Payments to acquire treasury stock	(175)	
Dividends paid	(240)	
Net cash provided by financing activities		10,965
Net decrease in cash and cash equivalents		(179)
Cash and cash equivalents at beginning of year		6,700
Cash and cash equivalents at end of year		<u>\$ 6,521</u>
Reconciliation of net income to net cash provided by operating activities:		
Net income		\$ 1,056
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	\$ 100	
Provision for credit losses	300	
Provision for deferred taxes	58	
Loss on sale of investment securities	75	
Gain on sale of equipment	(50)	
Increase in trading securities (including unrealized appreciation of \$25)	(700)	
Increase in taxes payable	175	
Increase in interest receivable	(150)	
Increase in interest payable	75	
Decrease in fees and commissions receivable	20	
Increase in accrued expenses	55	
Total adjustment		(42)
Net cash provided by operating activities		<u>\$ 1,014</u>
Supplemental schedule of noncash investing and financing activities:		
Conversion of long-term debt to common stock		\$ 500

Disclosure of accounting policy:

For purposes of reporting cash flows, cash and cash equivalents include cash on hand, amounts due from banks, and federal funds sold. Generally, federal funds are purchased and sold for one-day periods.

942-230-55-3 [Paragraph superseded by Maintenance Update 2017-06.](#)

942-230-55-4 Summarized below is financial information for the current year for Financial Institution, Inc., which provides the basis for the statement of cash flows presented in paragraphs [942-230-55-2](#) through [55-3](#).

FINANCIAL INSTITUTION, INC.
STATEMENT OF FINANCIAL POSITION

	1/1/X1	12/31/X1	Change
Assets:			
Cash and due from banks	\$ 4,400	\$ 3,121	\$ (1,279)
Federal funds sold	2,300	3,400	1,100
Total cash and cash equivalents	6,700	6,521	(179)
Trading securities	4,000	4,700	700
Available-for-sale debt securities	5,100	6,800	1,700
Allowance for credit losses on available-for-sale debt securities	(100)	(100)	-
Available-for-sale debt securities, net	5,000	6,700	1,700
Credit card receivables	8,500	9,800	1,300
Loans	28,000	35,250	7,250
Allowance for credit losses on loans and credit card receivables	(800)	(850)	(50)
Loans and credit card receivables, net	35,700	44,200	8,500
Interest receivable	600	750	150
Fees and commissions receivable	60	40	(20)
Investment in direct financing lease	-	421	421
Investment in leveraged lease	-	392	392
Plant, property, and equipment, net	525	665	140
Total assets	\$ 52,585	\$ 64,389	\$ 11,804
Liabilities:			
Deposits	\$ 38,000	\$ 43,000	\$ 5,000
Federal funds purchased	7,500	12,000	4,500
Short-term borrowings	1,200	1,350	150
Interest payable	350	425	75
Accrued expenses	275	330	55
Taxes payable	75	250	175
Dividends payable	-	80	80
Long-term debt	2,000	2,300	300
Deferred taxes	-	58	58
Total liabilities	49,400	59,793	10,393
Stockholders' equity:			
Common stock	1,250	2,100	850
Treasury stock	-	(175)	(175)
Retained earnings	1,935	2,671	736
Total stockholders' equity	3,185	4,596	1,411
Total liabilities and stockholders' equity	\$ 52,585	\$ 64,389	\$ 11,804

FINANCIAL INSTITUTION, INC.
STATEMENT OF INCOME
FOR THE YEAR ENDED DECEMBER 31, 19X1

Revenues:		
Interest income	\$5,500	
Fees and commissions	1,300	
Net gain on sales of trading and investment securities	75	
Unrealized appreciation of trading securities	25	
Lease income	60	
Gain on sale of equipment	50	
Total revenues		\$7,010
Expenses:		
Interest expense	4,000	
Provision for credit losses	300	
Operating expenses	850	
Depreciation	100	
Total expenses		5,250
Income before income taxes		1,760
Provision for income taxes		704
Net income		\$1,056

942-230-55-5

The following transactions were entered into by Financial Institution, Inc., during 19X1 and are reflected in the preceding financial statements:

- a. Financial Institution sold trading securities with a carrying value of \$20,400 for \$20,550 and purchased trading securities for \$21,075. Financial Institution recorded unrealized appreciation on trading securities of \$25. Financial Institution also sold investment securities with a book value of \$2,300 for \$2,225 and purchased new investment securities for \$4,000.
- b. Financial Institution had a net decrease in short-term loans receivable (those with original maturities of 3 months or less) of \$2,250. Financial Institution made longer term loans of \$36,300 and collected \$26,550 on those loans. Financial Institution wrote off \$250 of loans as uncollectible.

c. Financial Institution purchased property for \$500 to be leased under a direct financing lease. The first annual rental payment of \$131 was collected. The portion of the rental payment representing interest income totaled \$52.

d. Financial Institution purchased equipment for \$1,000 to be leased under a leveraged lease. The cost of the leased asset was financed by an equity investment of \$400 and a long-term nonrecourse bank loan of \$600. The first annual rental payment of \$90, of which \$28 represented principal, was collected and the first annual loan installment of \$74, of which \$20 represented principal, was paid. Pretax income of \$8 was recorded.

e. Financial Institution purchased new property, plant, and equipment for \$450 and sold property, plant, and equipment with a book value of \$210 for \$260.

f. Customer deposits with Financial Institution consisted of the following.

	1/1/X1	12/31/X1	Increase
Demand deposits	\$ 8,000	\$ 8,600	\$ 600
Negotiable order of withdrawal accounts and savings accounts	15,200	17,600	2,400
Certificates of deposit	14,800	16,800	2,000
Total deposits	<u>\$ 38,000</u>	<u>\$ 43,000</u>	<u>\$ 5,000</u>

Sales of certificates of deposit during the year totaled \$63,000; certificates of deposit with principal amounts totaling \$61,000 matured. For presentation in the statement of cash flows, Financial Institution chose to report gross cash receipts and payments for both certificates of deposit with maturities of three months or less and those with maturities of more than three months.

g. Short-term borrowing activity for Financial Institution consisted of repayment of a \$200 90-day note and issuance of a 90-day note for \$250 and a 6-month note for \$100.

h. Financial Institution repaid \$200 of long-term debt and issued 5-year notes for \$600 and 10-year notes for \$400.

i. Financial Institution issued \$850 of common stock, \$500 of which was issued upon conversion of long-term debt and \$350 of which was issued for cash.

j. Financial Institution acquired \$175 of treasury stock.

k. Financial Institution declared dividends of \$320. The fourth quarter dividend of \$80 was payable the following January.

l. Financial Institution's provision for income taxes included a deferred provision of \$58.

m. In accordance with the definition of the term [cash](#), interest paid includes amounts credited directly to demand deposit, negotiable order of withdrawal accounts, and savings accounts.

942 Financial Services—Depository and Lending

235 Notes to Financial Statements

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-235-S00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-235-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019
942-235-S99-2	Amended	Accounting Standards Update No. 2019-07	07/26/2019
942-235-S99-2	Amended	Accounting Standards Update No. 2010-21	08/02/2010

S20 Glossary

General Note:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Foreign Activities

See paragraph [942-235-S99-1](#), Regulation S-X Rule 9-05(c)(1), for the definition of foreign activities for purposes of Regulation S-X Rule 9-05.

Revenue

See paragraph [942-235-S99-1](#), Regulation S-X Rule 9-05(c)(2), for the definition of revenue for purposes of Regulation S-X Rule 9-05.

Significant Geographic Area

See paragraph [942-235-S99-1](#), Regulation S-X Rule 9-05(c)(3), for the definition of significant geographic area for purposes of Regulation S-X Rule 9-05.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Foreign Activities

942-235-S50-1 See paragraph [942-235-S99-1](#), Regulation S-X Rule 9-05, for disclosure requirements pertaining to [foreign activities](#).

> Loan Losses

942-235-S50-2 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03(7)(d), for disclosure requirements pertaining to loan losses.

> Loans Made to Related Parties

942-235-S50-3 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03(7)(e), for disclosure requirements for loans made by the registrants to certain related parties.

> Compensating Balance Arrangements

942-235-S50-4 See paragraph [210-10-S99-2](#), SAB Topic 6.H.1.b, for SEC Staff views on the applicability of ASR 148 to certain bank holding companies and brokerage firms.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 9-05, Foreign Activities

942-235-S99-1 The following is the text of Regulation S-X Rule 9-05, Foreign Activities (17 CFR 210.9-05).

(a) General requirement. Separate disclosure concerning foreign activities shall be made for each period in which either

- (1) assets, or
- (2) revenue, or
- (3) income (loss) before income tax expense, or
- (4) net income (loss),

each as associated with foreign activities, exceeded ten percent of the corresponding amount in the related financial statements.

(b) Disclosures.

- (1) Disclose total identifiable assets (net of valuation allowances) associated with foreign activities.
- (2) For each period for which a statement of comprehensive income is filed, state the amount of revenue, income (loss) before taxes, and net income (loss) associated with foreign activities. Disclose significant estimates and assumptions (including those related to the cost of capital) used in allocating revenue and expenses to foreign activities; describe the nature and effects of any changes in such estimates and assumptions which have a significant impact on interperiod comparability.
- (3) The information in paragraph (b) (1) and (2) of this section shall be presented separately for each significant geographic area and in the aggregate for all other geographic areas not deemed significant.

(c) Definitions.

- (1) **Foreign activities** include loans and other revenues producing assets and transactions in which the debtor or customer, whether an affiliated or unaffiliated person, is domiciled outside the United States.
- (2) The term **revenue** includes the total of the amount reported at §§ 210.9-04.5 and 210.9-04.13.
- (3) A **significant geographic area** is one in which assets or revenue or income before income tax or net income exceed 10 percent of the comparable amount as reported in the financial statements.

[48 FR 11107, Mar. 16, 1983, as amended at 83 FR 50205, Oct. 4, 2018]

· · > Regulation S-X Rule 9-06, Condensed Financial Information of Registrant

942-235-S99-2 The following is the text of Regulation S-X Rule 9-06, Condensed Financial Information of Registrant (17 CFR 210.9-06).

The information prescribed by § 210.12-04 shall be presented in a note to the financial statements when the restricted net assets (§ 210.1-02(dd)) of consolidated subsidiaries exceed 25 percent of consolidated net assets as of the end of the most recently completed fiscal year. The investment in and indebtedness of and to bank subsidiaries shall be stated separately in the condensed balance sheet from amounts for other subsidiaries; the amount of cash dividends paid to the registrant for each of the last three years by bank subsidiaries shall be stated separately in the condensed statement of comprehensive income from amounts for other subsidiaries.

[83 FR 50205, Oct. 4, 2018]

942 Financial Services—Depository and Lending

305 Cash and Cash Equivalents

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-305-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-305-05-1	Superseded	Maintenance Update 2017-21	12/22/2017
942-305-05-2	Superseded	Maintenance Update 2017-21	12/22/2017
942-305-15-1	Superseded	Maintenance Update 2017-21	12/22/2017
942-305-45-1	Superseded	Maintenance Update 2017-21	12/22/2017
942-305-50-1	Superseded	Maintenance Update 2017-21	12/22/2017

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-305-05-1 [Paragraph superseded by Maintenance Update 2017-21.](#)

942-305-05-2 [Paragraph superseded by Maintenance Update 2017-21.](#)

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

942-305-15-1 [Paragraph superseded by Maintenance Update 2017-21.](#)

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash

flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

942-305-45-1 [Paragraph superseded by Maintenance Update 2017-21.](#)

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

942-305-50-1 [Paragraph superseded by Maintenance Update 2017-21.](#)

942 Financial Services—Depository and Lending

310 Receivables

00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-310-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
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Fair Value (3rd def.)	Added	Accounting Standards Update No. 2012-04	10/01/2012
942-310-05-1	Amended	Accounting Standards Update No. 2016-13	06/16/2016
942-310-05-4	Superseded	Accounting Standards Update No. 2016-13	06/16/2016
942-310-25-1	Superseded	Accounting Standards Update No. 2016-13	06/16/2016
942-310-30-1	Amended	Accounting Standards Update No. 2022-02	03/31/2022
942-310-30-1 through 30-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012
942-310-35-1	Amended	Accounting Standards Update No. 2016-13	06/16/2016
942-310-55-1	Amended	Accounting Standards Update No. 2016-13	06/16/2016

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-310-05-1 This Subtopic provides guidance on accounting for debt-equity swap programs.

942-310-05-2 This Subtopic addresses situations where a financially troubled country may suspend the payment of interest on its loans. Banks with outstanding loans from such a country have also suspended accrual of interest income (placed them on nonaccrual status). A country that has suspended payment of interest may later resume payment.

942-310-05-3 [Debt-equity swap](#) programs are in place in several financially troubled countries. Although the programs differ somewhat among the countries, the principal elements of each program generally are as follows:

- holders of U.S.-dollar-denominated debt of these countries can choose to convert that debt into approved local equity investments.
- The holders are credited with local currency, at the official exchange rate, approximately equal to the U.S. dollar debt.
- A discount from the official exchange rate is usually imposed as a transaction fee.

- d. The local currency credited to the holder must be used for an approved equity investment.
- e. The local currency is not available to the holders for any other purpose.
- f. Dividends on the equity investment can generally be paid annually, although there may be restrictions on the amounts of the dividends or on payment of dividends in the early years of the investment.
- g. Capital usually cannot be repatriated for several years, and although some countries permit the investment to be sold, the proceeds from any such sale are generally subject to similar repatriation restrictions.

942-310-05-4 Paragraph superseded by Accounting Standards Update No. 2016-13.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

942-310-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#), with specific transaction exceptions noted below.

> Transactions

942-310-15-2 The guidance in this Subtopic does not apply to the following transactions:

- a. Stock loans that fall under the scope of Topic [718](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Debt-Equity Swap

A debt-equity swap is an exchange transaction of a monetary asset for a nonmonetary asset.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an [orderly transaction](#) between [market participants](#) at the measurement date.

Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

Related Parties

Related parties include:

- a. Affiliates of the entity
- b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the [Fair Value Option Subsection](#) of Section 825-10-15, to be accounted for by the equity method by the investing entity

- c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management
- d. Principal owners of the entity and members of their immediate families
- e. Management of the entity and members of their immediate families
- f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests
- g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

942-310-25-1 Paragraph superseded by Accounting Standards Update No. 2016-13.

> Debt-Equity Swap Fees and Costs

942-310-25-2 All other fees and transaction costs involved in a [debt-equity swap](#) shall not be capitalized but shall be charged to expense as incurred.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Debt-Equity Swap Programs

942-310-30-1 A [debt-equity swap](#) shall be measured at [fair value](#) at the date the transaction is agreed to by both parties. Debt-equity swaps have characteristics similar to both the acquisition of assets contemplated by Topics [805](#) and [845](#) and the receipt of assets in satisfaction of a loan contemplated by Subtopic [310-20](#).

942-310-30-2 Since the secondary market for debt of financially troubled countries may be considered to be thin, it may not be the best indicator of the fair value of the equity investment or of net assets received. In light of this thin secondary market and of the unique nature of the transaction, it is also necessary to examine the fair value of the equity investment or net assets received. In arriving at the fair value of a debt-equity swap, both the secondary market price of the loan given up and the fair value of the equity investment or net assets received shall be considered.

942-310-30-3 It is the responsibility of management to measure fair value considering all of the circumstances and to see that the measurement of fair value is based on reasonable methods and assumptions consistent with Topic [820](#), including, as needed, information from independent appraisals. Factors to consider in measuring fair values include the following:

- a. Similar transactions for cash
- b. Estimated cash flows from the equity investment or net assets received
- c. Fair value of similar equity investments, if any
- d. Currency restrictions, if any, affecting dividends, the sale of the investment, or the repatriation of capital.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Loans to Financially Troubled Countries

- 942-310-35-1** Bank loans to financially troubled countries may meet the conditions in Subtopic [326-20](#) on financial instruments measured at amortized cost for recording of credit losses. As a result, a bank shall establish loan loss allowances for such loans by charges to income.
- 942-310-35-2** If amounts are received on a loan on which the accrual of interest has been suspended, a determination should be made about whether the payment received should be recorded as a reduction of the principal balance or as interest income. If the ultimate collectibility of principal, wholly or partially, is in doubt, any payment received on a loan on which the accrual of interest has been suspended shall be applied to reduce principal to the extent necessary to eliminate such doubt.
- 942-310-35-3** When a country becomes current as to principal and interest payments and has normalized relations with the international financial community including, as appropriate, having in place an understanding with the International Monetary Fund regarding its economic stabilization program, and assuming that the allowance for loan losses is adequate, the creditor may recognize receipt of interest payments as income.
- 942-310-35-4** Although a country has met the conditions described in the preceding paragraph, that fact should not automatically lead to the conclusion that the loans should be returned to accrual status. Some period of payment performance generally is necessary in order to make an assessment of collectibility that would permit returning the loans to accrual status.

> Debt-Equity Swap Programs

- 942-310-35-5** If the fair value of the equity investment or net assets received in a [debt-equity swap](#) is less than the recorded investment in the loan, a loss shall be recognized and recorded at the date the transaction is agreed to by both parties. Although some portion of the swap loss may result from factors such as a change in the interest rate environment for similar loans, the loss results principally from a concern as to the ultimate collectibility of the loan. Therefore, the swap loss generally shall be charged to the allowance for loan losses and shall include any discounts from the official exchange rate that are imposed as a transaction fee.
- 942-310-35-6** Loss recoveries or even gains might be indicated in a swap transaction as a result of the valuation process. However, due to the subjective nature of the valuation process, such loss recoveries or gains ordinarily should not be recorded until the equity investment or net assets received in the swap transaction are realized in unrestricted cash or cash equivalents.
- 942-310-35-7** Recognition of a debt-equity swap loss shall be among the factors to be considered by management in its periodic assessment of the adequacy of the allowance for loan losses with respect to its remaining portfolio of loans to debtors in financially troubled countries.

> Customers' Liabilities on Acceptances

- 942-310-35-8** Provisions for uncollectible amounts for customers' acceptance liabilities should be made, if necessary.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Customers' Liabilities on Acceptances

942-310-45-1 Customers' liabilities on acceptances shall be reported gross, rather than net of the related bankers' acceptance liability.

> Unearned Premiums and Unpaid Claims on Insurance Coverages

942-310-45-2 See Section [942-210-45](#) regarding presentation guidance for unearned premiums and unpaid claims on insurance coverages issued to finance customers.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Debt-Equity Swap Programs

942-310-55-1 Management may decide to dispose (by sale of swap) of loans prior to maturity for a number of reasons, including liquidity needs, tax considerations, portfolio diversification objectives, and

management practices of generating loans specifically for disposition, in which case the loans shall be carried at the lower of amortized cost basis or fair value.

S00 Status

- i General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-310-S00-1 No updates have been made to this subtopic.

S35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Reporting of an Allocated Transfer Risk Reserve in Filings Under the Federal Securities Laws

942-310-S35-1 See paragraph [942-310-S99-3](#), SAB Topic 11.I, for SEC Staff views on how the allocated transfer risk reserve should be reported in filings under Federal Securities Laws.

S45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Loans and Allowance For Loan Losses

942-310-S45-1 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.7, for presentation requirements pertaining to loans and allowance for loan losses.

> Due from Customers on Acceptances

942-310-S45-2 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.9, for presentation requirements pertaining to amounts receivable from customers on unmatured drafts and bills of exchange.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Loans and Allowance for Loan Losses

942-310-S50-1 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.7, for disclosure requirements pertaining to loans and allowance for loan losses.

> Due from Customers on Acceptances

942-310-S50-2 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.9, for disclosure requirements pertaining to amounts receivable from customers on unmatured drafts and bills of exchange.

> Deposit-Relending Arrangements

942-310-S50-3 See paragraph [942-310-S99-1](#), SAB Topic 11.H.1, for SEC Staff views regarding appropriate disclosures for deposit-relending arrangements between U.S. banks and certain foreign banks and borrowers.

> Accounting and Disclosures by Bank Holding Companies for a Mexican Debt Exchange Transaction

942-310-S50-4 See paragraph [942-310-S99-2](#), SAB Topic 11.H.2, for SEC Staff views on disclosure related to Mexican debt exchange transactions.

> Allocated Transfer Risk Reserve

942-310-S50-5 See paragraph [942-310-S99-3](#), SAB Topic 11.I, for SEC Staff views on disclosures pertaining to an allocated transfer risk reserve.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 11.H.1, Disclosures by Bank Holding Companies Regarding Certain Foreign Loans

942-310-S99-1 The following is the text from SAB Topic 11.H.1, Disclosures by Bank Holding Companies Regarding Certain Foreign Loans.

Facts: Certain foreign countries experiencing liquidity problems, by agreement with U.S. banks, have instituted arrangements whereby borrowers in the foreign country may remit local currency to the foreign country's central bank, in return for the central bank's assumption of the borrowers'

non-local currency obligations to the U.S. banks. The local currency is held on deposit at the central bank, for the account of the U.S. banks, and may be subject to relending to other borrowers in the country. Ultimate repayment of the obligations to the U.S. banks, in the requisite non-local currency, may not be due until a number of years hence.

Question: What disclosures are appropriate regarding deposit/relending arrangements of this general type?

Interpretive Response: The staff emphasizes that it is the responsibility of each registrant to determine the appropriate financial statement treatment and classification of foreign outstandings. The facts and circumstances surrounding deposit/relending arrangements should be carefully analyzed to determine whether the local currency payments to the foreign central bank represent collections of outstandings for financial reporting purposes, and whether such outstandings should be classified as nonaccrual, past due or restructured loans pursuant to Item III.C.1. of Industry Guide 3, Statistical Disclosure by Bank Holding Companies ("Guide 3").

The staff believes, however, that the impact of deposit/relending arrangements covering significant amounts of outstandings to a foreign country should be disclosed pursuant to Guide 3, Item III.C.3., Instruction (6)(a). ^{FN1} The disclosures should include a general description of the arrangements and, if significant, the amounts of interest income recognized for financial reporting purposes which has not been remitted in the requisite non-local currency to the U.S. bank.

FN1 Instruction (6)(a) calls for description of the nature and impact of developments in countries experiencing liquidity problems which are expected to have a material impact on timely repayment of principal or interest. Additionally, Instruction (6)(d)(ii) to Item III.C.3. calls for disclosure of commitments to relend, or to maintain on deposit, arising in connection with certain restructurings of foreign outstanding.

· · > SAB Topic 11.H.2, Accounting and Disclosures by Bank Holding Companies for a "Mexican Debt Exchange" Transaction

942-310-S99-2 The following is the text from SAB Topic 11.H.2, Accounting and Disclosures by Bank Holding Companies for a "Mexican Debt Exchange" Transaction.

Facts: Inquiries have been made of the staff regarding certain accounting and disclosure issues raised by a proposed "Mexican Debt Exchange" transaction which could involve numerous bank holding companies with existing obligations of the United Mexican States ("Mexico") or other Mexican public sector entities (collectively, "Existing Obligations"). The key elements of the Mexican Debt Exchange are as follows:

Mexico will offer for sale bonds ("Bonds"), denominated in U.S. dollars, which will pay interest at a LIBOR-based floating rate and mature in twenty years. Mexico will undertake to list the Bonds on the Luxembourg Stock Exchange. The Bonds will be secured, as to their ultimate principal value only, by non-interest bearing securities of the U.S. Treasury ("Zero Coupon Treasury Securities") which will be purchased by Mexico. The Zero Coupon Treasury Securities will be pledged to holders of the Bonds and held in custody at the Federal Reserve Bank of New York and will have a maturity date and ultimate principal value which match the maturity date and principal value of the Bonds. While the Bonds will have default and acceleration provisions, the holder of a Bond will not be permitted to have access to the collateral prior to the final scheduled maturity date, at which time the proceeds of the collateral will be available to pay the full principal amount of the Bonds. As such, the holder of a Bond ultimately will be secured as to principal at maturity; however, the interest payments will not be secured. The Bonds will not be subject to future restructurings of Mexico's Existing Obligations, and Mexico has indicated that neither the Bonds nor the Existing Obligations exchanged therefor will be considered part of a base amount with respect to any future requests by Mexico for new money.

The Mexican Debt Exchange will be structured in such a way that potential purchasers of the Bonds will submit bids on a voluntary basis to the auction agent. These bids will specify the face dollar amount of existing restructured commercial bank obligations of Mexico or of other Mexican public sector entities that the potential purchaser is willing to tender and the face dollar amount

of Bonds that the purchaser is willing to accept in exchange for the Existing Obligations. Following the auction date, Mexico will determine the face dollar amount of Bonds to be issued and will exchange the Bonds for Existing Obligations taking first the offer of the largest face dollar amount of Existing Obligations per face dollar amount of Bonds, and so on, until all Bonds which Mexico is willing to issue have been subscribed. It is therefore possible that a greater amount of Existing Obligations could be tendered than Mexico is willing to accept.

The lender has appropriately accounted for the transaction as a troubled debt restructuring in accordance with the provisions of Statement 15 as amended by Statement 114 [Topic 310].

Question 1: What financial statement and other disclosure issues regarding the Mexican Debt Exchange and the Bonds received should be considered by registrants?

Interpretive Response: The staff believes that disclosure of the nature of the transaction would be necessary, including:

Carrying value and terms of Existing Obligations exchanged;

Face value, carrying value, market value and terms of Bonds received;

The effect of the transaction on the allowance for loan losses and the provision for losses in the current period; and

Annual interest income on Existing Obligations exchanged and annual interest income on Bonds received.

On an ongoing basis, the staff believes that the terms, carrying value and market value of the Bonds should be disclosed, if material, due to their unique features. ^{FN2}

FN2 Registrants also are reminded that if the security received in the exchange constitutes a debt security within the scope of Statement 115 [Topic 320], the disclosures required by Statement 115 [Topic 320] also would need to be provided.

Question 2: What disclosure with respect to the Bonds received would be acceptable under Industry Guide 3?

Interpretive Response: Instruction (4) to Item III.C.3. of Industry Guide 3 states: "The value of any tangible, liquid collateral may also be netted against cross-border outstandings of a country if it is held and realizable by the lender outside of the borrower's country." Given the unique features of the Bonds in that the ultimate repayment of the principal amount (but not interest) at maturity is assured, the staff will not object to either of two presentations. Under the first presentation, the carrying value of the Bonds, including any accrued but unpaid interest, would be included as a "cross-border outstanding" to the extent it exceeds the current fair value of the Zero Coupon Treasury Securities which collateralize the bonds. Alternatively, under the second presentation, the carrying value of the Bond principal would be excluded from Mexican cross-border outstandings provided (a) disclosure is made of the exclusion, (b) for purposes of determining the 1% and .75% of total assets disclosure thresholds of Item III.C.3. of Industry Guide 3, such carrying values are not excluded, and (c) all the Guide 3 disclosures relating to cross-border outstandings continue to be made, as discussed further below.

For registrants that adopt the alternative disclosure approach and whose Mexican cross-border outstandings (excluding the carrying value of the Bond principal) exceed 1% of total assets, appropriate footnote disclosure of the exclusions should be made. Such footnote should indicate the face amount and carrying value of the Bonds excluded, the market value of such Bonds, and the face amount and current fair value of the Zero Coupon Treasury Securities which secure the Bonds.

If the Mexican cross-border outstandings (excluding the carrying value of the Bond principal) are less than 1% of total assets but with the addition of the carrying value of the Bond principal would exceed 1%, the carrying value of the Mexican cross-border outstandings may be excluded from the list of countries whose cross-border outstandings exceed 1% of total assets provided that a footnote discloses the amount of Mexican cross-border outstandings (excluding the carrying value of the Bond principal) along with the footnote-type disclosure concerning the Bonds discussed in the previous paragraph. This disclosure and any other material disclosure specified by Item

III.C.3. of Industry Guide 3 would continue to be made as long as Mexican exposure, including the carrying value of the Bond principal, exceeded 1%.

If the Mexican cross-border outstandings (excluding the carrying value of the Bond principal) are less than .75% of total assets but with the addition of the carrying value of the Mexican Bond principal would exceed .75% but be less than 1%, cross-border outstandings disclosed pursuant to Instruction (7) to Item III.C.3. of Industry Guide 3 may exclude Mexico provided a footnote is added to the aggregate disclosure which discloses the amount of Mexican cross-border outstandings and the fact that they have not been included. The carrying value of the Bond principal may be excluded from the amount of Mexican cross-border outstandings disclosed in the footnote provided the footnote-type disclosure discussed in the second preceding paragraph is also made.

In essence, the alternative discussed herein results in a change only in the method of presenting information, not in the total information required. ^{FN3}

FN3 The following represents proposed disclosure using the alternative method discussed above. Of course, it would be necessary to supplement this disclosure with the additional disclosures regarding foreign outstandings that are called for by Guide 3 (e. g., an analysis of the changes in aggregate outstandings), and the disclosures called for by the Interpretive Responses to Question 1.

The appropriate disclosure would depend on the level of Mexican cross-border outstandings as follows:

A. Assuming that the remaining Mexican cross-border outstandings are in excess of 1% of total assets:

Mexican cross-border outstandings (which excludes the total amount of the carrying value of Bond principal) would be disclosed in the table presenting all such outstandings in excess of 1%.

Proposed footnote disclosure -

Not included in this amount is \$___ million of Mexican Government Bonds maturing in 2008, with a carrying value of \$___ million [if different from face value]. These Mexican Government Bonds had a market value of \$___ million on [reporting date]. The principal amount of these bonds is fully secured, at maturity, by \$___ million face value of U.S. zero coupon treasury securities that mature on the same date. The current fair value of these U.S. Government securities is \$___ million at [reporting date]. This collateral is pledged to holders of the bonds and held in custody at the Federal Reserve Bank of New York. The details of the transaction in which these bonds were acquired was reported in the Corporation's Form (8-K, 10-Q or 10-K) for (date). Accrued interest on the bonds, which is not secured, is included in the outstandings reported [amount to be disclosed if material]. Future interest on the bonds remains a cross-border risk.

B. Assuming that remaining Mexican cross-border outstandings are less than 1% of total assets but with the addition of the carrying value of the Mexican Bond principal would exceed 1%:

There would not be any disclosure included in any cross-border table.

The total amount of remaining cross-border Mexican outstandings would be disclosed in a footnote to the table. Such footnote would also explain that the Mexican outstandings are excluded from the table.

Additional footnote disclosure - (same disclosure in A above).

The disclosure required under this paragraph (plus any other disclosure required by Item III.C.3. of Guide 3) would continue so long as Mexican exposure, including the carrying value of the Mexican Bond principal, exceeded 1%.

C. Assuming that the remaining Mexican cross-border outstandings is less than .75% of total assets but with the addition of the carrying value of the Mexican Bond principal is greater than .75% but less than 1%:

Mexico would not be included in the list of names of countries required by Instruction 7 to Item III.C.3. of Industry Guide 3 and the amount of Mexican cross-border outstandings would not be included in the aggregate amount of outstandings attributable to all such countries.

A footnote would be added to this disclosure of aggregate outstandings which discusses the Mexican outstandings and the Mexican Bonds. An example follows:

Not included in the above aggregate outstandings are the Corporation's cross-border outstandings to Mexico which totaled \$___ million at (reporting date). This amount is less than .75% of total assets. (The remaining portion of this footnote is the same disclosure in A above.)

D. Assuming that the total of the Mexican cross-border outstanding plus the carrying value of the Bond principal is less than the .75% of total assets:

No disclosure would be required.

However, same disclosure as in A above would be provided if any other aspects of the financial statements are materially affected by this transaction (such as the allowance for loan losses).

Changes in aggregate outstandings to certain countries experiencing liquidity problems are required to be presented in tabular form in compliance with Instruction (6)(b) to Item III.C.3. In this table, Existing Obligations exchanged for the Bonds would generally be included in the aggregate cross-border outstandings at the beginning of the period during which the exchange occurred. For registrants using the alternative method, the amount of Existing Obligations which were exchanged would be included as a deduction in the "other changes" caption in the table. In addition, a footnote will be provided to the table as follows:

Relates primarily to the exchange of unsecured Mexican outstandings for Mexican bonds. The principal amount of these bonds is secured at maturity by \$___ face U.S. Zero Coupon Treasury Securities which mature on the same date and have a current fair value of \$___. Future interest on the bonds remains a cross-border risk.]

· · > SAB Topic 11.I, Reporting of an Allocated Transfer Risk Reserve in Filings Under the Federal Securities Laws

942-310-S99-3 The following is the text from SAB Topic 11.I, Reporting of an Allocated Transfer Risk Reserve in Filings under the Federal Securities Laws:

Facts: The Comptroller of the Currency, Board of Governors of the Federal Reserve System and Federal Deposit Insurance Corporation jointly issued final rules, pursuant to the International Lending Supervision Act of 1983, requiring banking institutions to establish special reserves (Allocated Transfer Risk Reserve "ATRR") against the risks presented in certain international assets when the Federal banking agencies determine that such reserves are necessary. The rules provide that the ATRR is to be accounted for separately from the General Allowances for Possible Loan Losses, and shall not be included in the banking institution's capital or surplus. The rules also provide that no ATRR provisions are required if the banking institution writes down the assets in the requisite amount.

Question: How should the ATRR be reported in filings under the Federal Securities Laws?

Interpretive Response: It is the staff's understanding that the three banking agencies believe that those bank holding companies that have not written down the designated assets by the requisite amount and, therefore, are required to establish an ATRR should disclose the amount of the ATRR. The staff believes that such disclosure should be part of the discussion of Loan Loss Experience, Item IV of Guide 3. Part A under Item IV calls for an analysis of loss experience in the form of a reconciliation of the allowance for loan losses, and the staff believes that it would be appropriate to show and discuss separately the ATRR in the context of that reconciliation.

Registrants should recognize that the amount provided as an ATRR, or the write off of the requisite amount, represents the identification of an amount which those regulatory agencies have determined should not be included as a part of the institution's capital or surplus for purposes of administration of the regulatory and supervisory functions of those agencies. In this context, the staff believes that disclosure of the ATRR, as part of the footnote required to be presented in a registrant's financial statements by Item 7(d) of Rule 9-03 of Regulation S-X, may provide a more complete explanation of charge offs and provisions for loan losses. It should be noted, however, that the ATRR amount to be excluded from the institution's capital and surplus does not address the more general issue of the adequacy of allowances for any particular bank

holding company's loans. It is still the responsibility of each registrant to determine whether GAAP require an additional provision for losses in excess of the amount required to be included in an ATRR (or the requisite amount written off).

942 Financial Services—Depository and Lending

320 Investments—Debt and Equity Securities

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-320-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	942-320-35-1	Amended	Accounting Standards Update No. 2017-08	03/30/2017
	942-320-50-1	Amended	Accounting Standards Update No. 2020-03	03/09/2020
	942-320-50-2 through 50-4	Amended	Accounting Standards Update No. 2025-11	12/08/2025
	942-320-50-2A	Added	Accounting Standards Update No. 2016-01	01/05/2016
	942-320-50-3	Amended	Accounting Standards Update No. 2020-03	03/09/2020
	942-320-50-3	Amended	Accounting Standards Update No. 2019-04	04/25/2019
	942-320-50-3A	Amended	Accounting Standards Update No. 2020-03	03/09/2020
	942-320-50-3A	Added	Accounting Standards Update No. 2019-04	04/25/2019

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 942-320-05-1** This Subtopic provides guidance regarding the recognition, measurement and disclosure of debt and equity securities by financial institutions.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

- 942-320-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#).

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Amortization or Accretion Period

- 942-320-35-1** The period of amortization or accretion for debt securities shall generally extend from the purchase date to the maturity date, unless other Topics are applicable.

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 942-320-50-1** For purposes of the disclosure requirements of paragraphs [320-10-50-1 through 50-3](#) and [320-10-50-5 through 50-5C](#), the term *financial institutions* includes banks, savings and loan associations, savings banks, credit unions, finance companies, and insurance entities.
- 942-320-50-1A** The disclosures in paragraphs [942-320-50-1 through 50-3](#) are required for interim and annual periods.
- 942-320-50-2** In complying with the requirements in paragraph [942-320-50-1](#), financial institutions shall include in their disclosure all of the following major security types, although additional types also may be necessary:
- a. Equity securities, segregated by any one of the following:
 1. Industry type
 2. Entity size
 3. Investment objective.

- b. Debt securities issued by the U.S. Treasury and other U.S. government corporations and agencies
- c. Debt securities issued by states of the United States and political subdivisions of the states
- d. Debt securities issued by foreign governments
- e. Corporate debt securities
- f. Residential mortgage-backed securities
- ff. Commercial mortgage-backed securities
- fff. Collateralized debt obligations
- g. Other debt obligations.

PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

In complying with the requirements in paragraph [942-320-50-1](#), financial institutions shall include in their disclosure in interim and annual reporting periods all of the following major security types, although additional types also may be necessary:

- a. Equity securities, segregated by any one of the following:
 - 1. Industry type
 - 2. Entity size
 - 3. Investment objective.
- b. Debt securities issued by the U.S. Treasury and other U.S. government corporations and agencies
- c. Debt securities issued by states of the United States and political subdivisions of the states
- d. Debt securities issued by foreign governments
- e. Corporate debt securities
- f. Residential mortgage-backed securities
- ff. Commercial mortgage-backed securities
- fff. Collateralized debt obligations
- g. Other debt obligations.

942-320-50-2A Investments in mutual funds that invest only in U.S. government debt securities may be shown separately rather than grouped with other equity securities in the disclosures by major security type required by paragraph [942-320-50-2](#).

PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For interim and annual reporting periods, investments in mutual funds that invest only in U.S. government debt securities may be shown separately rather than grouped with other equity securities in the disclosures by major security type required by paragraph [942-320-50-2](#).

942-320-50-3 In complying with this requirement, financial institutions shall disclose the net carrying amount of debt securities based on at least 4 maturity groupings:

- a. Within 1 year
- b. After 1 year through 5 years
- c. After 5 years through 10 years
- d. After 10 years.

Securities not due at a single maturity date, such as mortgage-backed securities, may be disclosed separately rather than allocated over several maturity groupings. If allocated, the basis for allocation also shall be disclosed.

PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

In complying with this requirement, financial institutions shall disclose the net carrying amount of debt securities in interim and annual reporting periods based on at least 4 maturity groupings:

- a. Within 1 year
- b. After 1 year through 5 years
- c. After 5 years through 10 years
- d. After 10 years.

Securities not due at a single maturity date, such as mortgage-backed securities, may be disclosed separately rather than allocated over several maturity groupings. If allocated, the basis for allocation also shall be disclosed.

942-320-50-3A A financial institution that is a public business entity shall disclose the fair value of the debt securities based on at least 4 maturity groupings:

- a. Within 1 year
- b. After 1 year through 5 years
- c. After 5 years through 10 years
- d. After 10 years.

Securities not due at a single maturity date, such as mortgage-backed securities, may be disclosed separately rather than allocated over several maturity groupings. If allocated, the basis for allocation also shall be disclosed.

PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

A financial institution that is a public business entity shall disclose the fair value of the debt securities in interim and annual reporting periods based on at least 4 maturity groupings:

- a. Within 1 year
- b. After 1 year through 5 years
- c. After 5 years through 10 years
- d. After 10 years.

Securities not due at a single maturity date, such as mortgage-backed securities, may be disclosed separately rather than allocated over several maturity groupings. If allocated, the basis for allocation also shall be disclosed.

> Other Securities

- 942-320-50-4** The carrying amount of investment assets that serve as collateral to secure public funds, securities sold under repurchase agreements, and other borrowings, that are not otherwise disclosed under Topic 860, shall be disclosed in the notes to financial statements.

 PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2028 | **Transition Guidance:** [270-10-65-1](#)

For interim and annual reporting periods, the carrying amount of investment assets that serve as collateral to secure public funds, securities sold under repurchase agreements, and other borrowings, that are not otherwise disclosed under Topic 860, shall be disclosed in the notes to financial statements.

- 942-320-50-5** The notes to financial statements shall include an explanation of the institution's accounting policy for securities, including the basis for classification.

55 Implementation Guidance and Illustrations

 **General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Financial Institutions' Ability to Hold Mortgage Securities to Maturity

- 942-320-55-1** Regulators of financial institutions can, under appropriate circumstances, conclude that the continued ownership of any asset represents an undue safety and soundness risk to an institution and, accordingly, require the divestiture of that asset. It was not intended that a regulator's overall divestiture authority be considered as an automatic impairment of an institution's ability to hold any security to maturity, since impairment would have precluded any use of the held-to-maturity category by regulated financial institutions. However, specific facts and circumstances could indicate that an institution does not have the ability to hold a security to maturity.
- 942-320-55-2** The federal regulatory agencies note that only in rare circumstances have examiners required a financial institution to dispose of mortgage securities that have become high-risk after acquisition. Such circumstances have occurred only when examiners have determined that there is a significant safety and soundness concern with respect to a particular institution that has arisen from its holdings of these assets. The agencies note that examiners' divestiture authority is not unique to high-risk

mortgage securities but rather is the same authority they have with respect to any other security or asset. Thus, the mere existence of examiners' divestiture authority for high-risk mortgage securities should not preclude an institution from concluding it has the intent and ability to hold to maturity those securities that were non-high-risk when acquired.

942-320-55-3 See paragraphs [948-310-25-1 through 25-2](#), [948-310-30-4](#), and [948-310-35-4 through 35-5](#) for additional guidance concerning mortgage loans held as long-term investments.

942 Financial Services—Depository and Lending

325 Investments—Other

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-325-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-325-05-1	Amended	Accounting Standards Update No. 2016-01	01/05/2016
942-325-05-2	Amended	Accounting Standards Update No. 2016-01	01/05/2016
942-325-05-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012
942-325-25-4	Added	Accounting Standards Update No. 2016-01	01/05/2016
942-325-30-1	Added	Accounting Standards Update No. 2016-01	01/05/2016
942-325-35-1	Amended	Accounting Standards Update No. 2016-01	01/05/2016
942-325-35-5	Added	Accounting Standards Update No. 2016-01	01/05/2016
942-325-45-1	Amended	Accounting Standards Update No. 2016-01	01/05/2016

05 Overview and Background

- General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-325-05-1 This Subtopic provides recognition and measurement guidance concerning Federal Home Loan Bank or Federal Reserve Bank stock, National Credit Union Share Insurance Fund deposits and premiums, regular-way securities, and exchange memberships.

942-325-05-2 Although Federal Home Loan Bank (or Federal Reserve Bank) stock is an equity interest in a Federal Home Loan Bank (or Federal Reserve Bank), it does not have a readily determinable fair value because its ownership is restricted and it lacks a market. Federal Home Loan Bank (or Federal Reserve Bank) stock can be sold back only at its par value of \$100 per share and only to the Federal Home Loan Banks (or Federal Reserve Banks) or to another member institution. In addition, the equity ownership rights represented by Federal Home Loan Bank stock are more limited than would be the case for a public company, because of the oversight role exercised by regulators in the process of budgeting and approving dividends.

15 Scope and Scope Exceptions

- General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

942-325-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#).

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Federal Home Loan Bank or Federal Reserve Bank Stock

942-325-25-1 Federal Home Loan Bank and Federal Reserve Bank stock shall be classified as a restricted investment security.

> Regular-Way Securities

942-325-25-2 Regular-way purchases and sales of securities shall be recorded on the trade date. Gains and losses from regular-way security sales or disposals shall be recognized as of the trade date in the statement of operations for the period in which securities are sold or otherwise disposed of. See paragraph [815-10-15-15](#) for a definition of regular-way security trades.

> National Credit Union Share Insurance Fund Deposits

942-325-25-3 For credit unions and corporate credit unions, amounts deposited with the National Credit Union Share Insurance Fund shall be accounted for and reported as assets as long as such amounts are fully refundable.

> Exchange Memberships

942-325-25-4 Section [940-340-25](#) provides guidance for recognition of exchange memberships.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Exchange Memberships

942-325-30-1 Section [940-340-30](#) provides guidance for initial measurement of exchange memberships.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Federal Home Loan Bank or Federal Reserve Bank Stock

942-325-35-1 Federal Home Loan Bank and Federal Reserve Bank stock shall be carried at cost and evaluated for impairment in accordance with paragraph [942-325-35-3](#).

942-325-35-2 Both cash and stock dividends received on Federal Home Loan Bank stock shall be reported as income. See Topics [505](#) and [852](#) for guidance concerning stock splits.

942-325-35-3 Federal Home Loan Bank stock is generally viewed as a long-term investment. Accordingly, when evaluating Federal Home Loan Bank stock for impairment, its value shall be determined based on the ultimate recoverability of the par value rather than by recognizing temporary declines in value. The determination of whether the decline affects the ultimate recoverability is influenced by criteria such as the following:

- a. The significance of the decline in net assets of the Federal Home Loan Banks as compared to the capital stock amount for the Federal Home Loan Banks and the length of time this situation has persisted
- b. Commitments by the Federal Home Loan Banks to make payments required by law or regulation and the level of such payments in relation to the operating performance of the Federal Home Loan Banks
- c. The impact of legislative and regulatory changes on institutions and, accordingly, on the customer base of the Federal Home Loan Banks
- d. The liquidity position of the Federal Home Loan Banks.

> National Credit Union Share Insurance Fund Deposits and Premiums

942-325-35-4 Credit unions and corporate credit unions are subject to all of the following recognition and measurement provisions:

- a. The refundability of National Credit Union Share Insurance Fund deposits shall be reviewed for impairment. When the refundability of a deposit is evaluated, the financial condition of both the credit union and of the National Credit Union Share Insurance Fund shall be considered. Deposits may be returned to solvent credit unions for a number of reasons, including termination of insurance coverage, conversion to insurance coverage from another source, or transfer of operations of the insurance fund from the National Credit Union Administration Board. However, insolvent or bankrupt credit unions shall not be entitled to a return of their deposits. To the extent that National Credit Union Share Insurance Fund deposits are not refundable, they shall be charged to expense in the period in which the deposits are made or the assets become impaired.
- b. In years in which the equity of the National Credit Union Share Insurance Fund exceeds normal operating levels, the National Credit Union Administration is required to make distributions to insured credit unions to reduce the equity of the National Credit Union Share Insurance Fund to normal operating levels. Such distributions may be in the form of a waiver of insurance premiums, premium rebates, or cash payments. Distributions in connection with that reduction in the equity of the National Credit Union Share Insurance Fund shall be reported in the income statement in the period in which it is determined that a distribution will be made.
- c. The system of savings account insurance established by the recapitalization of the National Credit Union Share Insurance Fund, which provided for reserves of 1 percent of insured deposits, is based on the concept that the required deposits create a fund with an earning potential sufficient to provide for the risk of losses in the credit union system. In years in which the earnings of the fund have been adequate to provide insurance protection and cover all expenses and losses incurred by the fund, the National Credit Union Administration Board has elected to waive the insurance premiums due from insured credit unions. In those years, it has been industry practice to net imputed earnings on the insurance deposits against imputed premium expense rather than present them as gross amounts on the statement of income. In years in which the insurance premiums are not waived by the National Credit Union Administration, the premiums shall be expensed in the period to which they relate. To the extent that the National Credit Union Administration assesses premiums to cover prior operating losses of the insurance fund or to increase the fund balance to normal operating levels, credit unions shall expense those premiums when assessed.

> Exchange Memberships

942-325-35-5 Section [940-340-35](#) provides guidance for subsequent measurement of exchange memberships.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Federal Home Loan Bank or Federal Reserve Bank Stock

942-325-45-1 Investments in Federal Home Loan Bank or Federal Reserve Bank stock shall not be shown with securities accounted for under Topic [321](#).

942 Financial Services—Depository and Lending

360 Property, Plant, and Equipment

00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-360-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	942-360-45-1	Amended	Accounting Standards Update No. 2020-10	10/29/2020
	942-360-50-1	Added	Accounting Standards Update No. 2020-10	10/29/2020

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-360-05-1 This Subtopic provides guidance concerning the financial statement presentation of financial institution property, plant, and equipment.

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

942-360-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#).

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Premises and Equipment

- 942-360-45-1** Premises and equipment are generally shown as a single caption on the balance sheet, net of accumulated depreciation and amortization, the amount of which shall be presented on the face of the balance sheet or disclosed in the notes to financial statements. (See paragraph [942-360-50-1](#).)
- 942-360-45-2** For premises and equipment, net gains or net losses on dispositions shall be included in noninterest income or noninterest expense.

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

- 942-360-50-1** Premises and equipment are generally shown as a single caption on the balance sheet, net of accumulated depreciation and amortization, the amount of which shall be presented on the face of the balance sheet or disclosed in the notes to financial statements. (See paragraph [942-360-45-1](#).)

942 Financial Services—Depository and Lending

405 Liabilities

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-405-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-405-50-1	Amended	Maintenance Update 2018-02	02/02/2018
942-405-50-1	Amended	Maintenance Update 2014-07	03/17/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-405-05-1 This Subtopic provides disclosure and implementation guidance for deposit liabilities by financial institutions.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

942-405-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Consolidated Financial Statements

The financial statements of a consolidated group of entities that include a parent and all its subsidiaries presented as those of a single economic entity.

Noncontrolling Interest

The portion of equity (net assets) in a subsidiary not attributable, directly or indirectly, to a parent. A noncontrolling interest is sometimes called a minority interest.

Parent

An entity that has a controlling financial interest in one or more subsidiaries. (Also, an entity that is the primary beneficiary of a variable interest entity.)

Subsidiary

An entity, including an unincorporated entity such as a partnership or trust, in which another entity, known as its parent, holds a controlling financial interest. (Also, a variable interest entity that is consolidated by a primary beneficiary.)

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Short Sales of Securities

942-405-25-1 The obligations incurred in short sales shall be reported as liabilities. Such liabilities are generally called securities sold, not yet purchased.

942-405-25-2 See paragraph [815-10-55-57](#) for additional guidance concerning short sales.

> Deposits

- 942-405-25-3** The institution's liability for deposits originates and shall be recognized at the time deposits are received rather than when the institution collects the funds. Checks that are deposited by customers and that are in the process of collection and are currently not available for withdrawal (deposit float) shall be recorded as assets and liabilities. Deposits shall not be recorded based solely on collections.

> Member Deposits

- 942-405-25-4** Credit unions and corporate credit unions shall report unequivocally all member deposit accounts, including member shares, as liabilities in the statement of financial condition.

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Short Sales of Securities

- 942-405-35-1** The obligations incurred in short sales shall be subsequently measured at fair value through the income statement at each reporting date. Interest on the short positions shall be accrued periodically and reported as interest expense.

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Short Sales of Securities

942-405-45-1 The fair value adjustment on short sales of securities shall be classified in the income statement with gains and losses on securities.

> Redeemable Preferred Stock Dividends

942-405-45-2 For redeemable preferred stock of a [subsidiary](#) accounted for as a liability in a parent's [consolidated financial statements](#), dividends shall be included in the determination of income as interest expense. For redeemable preferred stock of a subsidiary accounted for as a [noncontrolling interest](#) in a subsidiary in a [parent's](#) consolidated financial statements, the dividends shall be presented as noncontrolling interest in income of a subsidiary. For redeemable preferred stock of a parent treated as capital, but displayed in the balance sheet as mezzanine capital, dividends shall be included in the statement of changes in shareholders' equity.

> Member Deposits

942-405-45-3 The statement of financial condition of credit unions and corporate credit unions shall either:

- Present deposit accounts as the first item in the liabilities and equity section
- Include deposit accounts within a captioned subtotal for total liabilities.

An unclassified presentation whereby all liabilities and equity are shown together under one subheading and savings accounts are presented as the last item before retained earnings shall not be an acceptable presentation.

· > Interest Payable

942-405-45-4 The interest paid or accrued on these accounts, commonly referred to as dividends, shall be reported as an expense on the statement of income, and the amount of interest payable to members shall be included as a liability in the statement of financial condition.

50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Deposits

942-405-50-1 Disclosures about deposit liabilities shall include all of the following:

- a. The aggregate amount of time deposit accounts (including certificates of deposit) in denominations that meet or exceed the insured limit at the balance sheet date
- b. Securities, mortgage loans, or other financial instruments that serve as collateral for deposits, that are otherwise not disclosed under Topic [860](#)
- c. The aggregate amount of any demand deposits that have been reclassified as loan balances, such as overdrafts, at the balance-sheet date
- d. Deposits that are received on terms other than those available in the normal course of business.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

- 942-405-55-1** For a credit union to be in compliance with the Codification, it must be unequivocal on the face of the statement of financial condition that savings accounts are a liability.
- 942-405-55-2** A credit union statement of financial condition shall either:
- a. Present savings accounts as the first item in the liabilities and equity section
 - b. Include savings accounts within a captioned subtotal for total liabilities.

> Illustrations

· > Example 1: Illustrated Statement of Financial Condition

- 942-405-55-3** This Example provides an illustration in which it is unequivocal on the face of the statement of financial condition that savings accounts are a liability.
- Sample Credit Union
Statements of Financial Condition
December 31, 19X2 and 19X1

	19X2	19X1
Assets		
Loans to members, net of allowance for loan losses (Note 3)	\$ 44,800,000	\$ 40,900,000
Cash	700,000	800,000
Investments (Notes 2 and 6)	5,000,000	7,000,000
Accrued interest receivable	100,000	70,000
Property and equipment (Note 4)	1,050,000	900,000
Central liquidity facility stock, at cost	250,000	250,000
Other assets	50,000	40,000
Total assets	<u>\$ 51,950,000</u>	<u>\$ 49,960,000</u>
Liabilities and Equity		
Savings accounts (Note 5)	\$ 42,600,000	\$ 42,460,000
Borrowed funds (Note 6)	5,000,000	4,000,000
Accrued and other liabilities	800,000	500,000
Commitments and contingent liabilities (Note 9)	-	-
Total liabilities	48,400,000	46,960,000
Retained earnings, substantially restricted (Note 7)	3,550,000	3,000,000
Total liabilities and equity	<u>\$ 51,950,000</u>	<u>\$ 49,960,000</u>

The accompanying notes are an integral part of these financial statements. [For purposes of these illustrations, the notes to financial statements have not been included in this or the following Example.]

· > Example 2: Alternative Presentation of Savings Accounts Within the Liabilities Section of the Statement of Financial Condition

942-405-55-4 This Example provides an illustration in which it is unequivocal on the face of the statement of financial condition that savings accounts are a liability.

Sample Credit Union

Statements of Financial Condition

December 31, 19X2 and 19X1

	19X2	19X1
Assets		
Loans to members, net of allowance for loan losses (Note 3)	\$ 44,800,000	\$ 40,900,000
Cash	700,000	800,000
Investments (Notes 2 and 6)	5,000,000	7,000,000
Accrued interest receivable	100,000	70,000
Property and equipment (Note 4)	1,050,000	900,000
Central liquidity facility stock, at cost	250,000	250,000
Other assets	50,000	40,000
Total assets	<u>\$ 51,950,000</u>	<u>\$ 49,960,000</u>
Liabilities and Equity		
Borrowed funds (Note 6)	\$ 5,000,000	\$ 4,000,000
Accrued and other liabilities	800,000	500,000
Commitments and contingent liabilities (Note 9)	-	-
Liabilities excluding savings accounts	5,800,000	4,500,000
Savings accounts (Note 5)	42,600,000	42,460,000
Total liabilities	48,400,000	46,960,000
Retained earnings, substantially restricted (Note 7)	3,550,000	3,000,000
Total liabilities and equity	<u>\$ 51,950,000</u>	<u>\$ 49,960,000</u>

The accompanying notes are an integral part of these financial statements.

942 Financial Services—Depository and Lending

470 Debt

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-470-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	942-470-50-1	Amended	Accounting Standards Update No. 2016-01	01/05/2016

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-470-05-1	This Subtopic provides disclosure and presentation guidance concerning certain borrowings and long-term obligations of financial institutions.
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15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

942-470-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#).

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Borrowings

942-470-45-1 Significant categories of borrowings shall be presented as separate line items in the liability section of the balance sheet, or as a single line item with appropriate note disclosure of components. Institutions may, alternatively, present debt based on the debt's priority (that is, senior or subordinated) if they also provide separate disclosure of significant categories of borrowings.

> Secured Borrowings

942-470-45-2 Transfers of mortgages accounted for under Topic [860](#) as secured borrowings of the issuing institution shall be classified as debt on the institution's balance sheet. Such mortgage-backed bonds shall be

classified separately from advances, other notes payable, and subordinated debt.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Fair Value of Deposit Liabilities

942-470-50-1 In estimating the fair value of deposit liabilities, a financial entity shall not take into account the value of its long-term relationships with depositors, commonly known as core deposit intangibles, which are separate intangible assets, not financial instruments.

> Long-Term Obligations

942-470-50-2 Accounting and reporting requirements for long-term obligations are the same for financial institutions as for other entities. If the financial institution has an unclassified balance sheet, there is no need to separate balances into current and long-term portions. Topic [440](#) requires disclosure of future payments on long-term borrowings.

> Debt

942-470-50-3 For debt, the notes to the financial statements shall describe the principal terms of the respective agreements including but not limited to all of the following:

- The title or nature of the agreement, or both
- The interest rate (and whether it is fixed or floating)
- The payment terms and maturity date(s)
- Collateral
- Conversion or redemption features
- Whether it is senior or subordinated
- Restrictive covenants (such as dividend restrictions), if any.

S45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Short-Term Borrowings

942-470-S45-1 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.13, for presentation requirements for short-term borrowings.

> Bank Acceptances Outstanding

942-470-S45-2 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.14, for presentation requirements for bank acceptances outstanding.

> Other Liabilities

942-470-S45-3 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.15, for presentation requirements for other liabilities.

> Long-Term Debt

942-470-S45-4 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.16, for presentation requirements for long-term debt.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Short-Term Borrowing

942-470-S50-1 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.13, for presentation requirements for short-term borrowings.

> Bank Acceptances Outstanding

942-470-S50-2 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.14, for presentation requirements for bank acceptances outstanding.

> Other Liabilities

942-470-S50-3 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.15, for presentation requirements for other liabilities.

> Long-Term Debt

942-470-S50-4 See paragraph [942-210-S99-1](#), Regulation S-X Rule 9-03.16, for disclosure requirements for long-term debt.

942 Financial Services—Depository and Lending

505 Equity

00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-505-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
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942-505-50-1	Amended	Accounting Standards Update No. 2018-09	07/16/2018
942-505-50-1F	Amended	Maintenance Update 2016-11 	06/27/2016
942-505-50-1H	Amended	Maintenance Update 2016-11 	06/27/2016

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-505-05-1 This Subtopic provides regulatory capital disclosure guidance for credit unions, branches of foreign institutions, trust operations, and post-business-combination entities.

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

942-505-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#).

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

[Related Proposed ASUs](#)

> Regulatory Capital Disclosures

· > Banks and Savings Institutions

942-505-50-1 Noncompliance with regulatory capital requirements could materially affect the economic resources of a bank or savings institution and claims to those resources. Accordingly, at a minimum, an entity shall disclose all of the following in the notes to the financial statements:

- a. A description of regulatory capital requirements for both of the following:
 1. Those for capital adequacy purposes
 2. Those established by the prompt corrective action provisions of Section 38 of the Federal Deposit Insurance Act.
- b. The actual or possible material effects of noncompliance with such requirements.
- c. Whether the entity is in compliance with the regulatory capital requirements, including, as of each balance sheet date presented, both of the following with respect to quantitative measures:
 1. The entity's required and actual ratios and amounts of regulatory capital, which may include Common Equity Tier 1, Tier 1 leverage, Tier 1 risk-based, and total risk-based capital, and (for savings institutions) tangible capital
 2. Factors that may significantly affect capital adequacy such as potentially volatile components of capital, qualitative factors, and regulatory mandates.
- d. As of each balance sheet date presented, the prompt corrective action category in which the entity was classified as of its most recent notification.
- e. As of the most recent balance sheet date, whether management believes any conditions or events since notification have changed the institution's category.

Noncompliance with regulatory capital requirements may, when considered with other factors, raise substantial doubt about the entity's ability to continue as a going concern for a reasonable period of time.

942-505-50-1A Disclosures shall also be presented for any state-imposed capital requirements that are more stringent than or significantly different from federal requirements.

942-505-50-1B For "adequately capitalized" or "undercapitalized" entities, the disclosure in paragraph [942-505-50-1\(c\)](#) shall present the minimum amounts and ratios the institution must have to be categorized as *adequately capitalized* under the prompt corrective action framework and shall include the effect of any supervisory action that has been imposed. The amounts disclosed under that paragraph may be presented in either narrative or tabular form. The percentages disclosed shall be those applicable to the entity. Entities with CAMELS ratings of 1 that are not anticipating or experiencing significant growth and have well-diversified risk are required to maintain a minimum leverage ratio of 3.0 percent. An

additional 100 to 200 basis points are required for all but these most highly rated entities. Also, if the institution has been advised that it must meet capital adequacy levels that exceed the statutory minimums, those higher levels shall be disclosed. Such institution-specific requirements also shall be the basis for management's assertion in paragraph 942-505-50-1(c) about whether the entity is in compliance.

942-505-50-1C A bank or savings institution is (under federal regulations) deemed to be within a given capital category as of the most recent date of any of the following:

- a. The date the institution filed a regulatory financial report
- b. The date a final regulatory examination report is delivered to the institution
- c. The date the institution's primary regulator provides written notice of the entity's capital category or that the institution's capital category has changed.

942-505-50-1D If any of the conditions in the following paragraph exist, the possible material effects of such conditions and events on amounts and disclosures in the financial statements shall be disclosed.

942-505-50-1E The guidance in the preceding paragraph applies if, as of the most recent balance sheet date presented, any of the following conditions exist:

- a. The entity is not in compliance with capital adequacy requirements
- b. The entity is considered less than adequately capitalized under the prompt corrective action provisions.

942-505-50-1F Other regulatory limitations may exist despite compliance with minimum regulatory capital requirements. To the extent such limitations could materially affect the economic resources of the institution and claims to those resources, they shall similarly be disclosed in the notes to financial statements.

· · > Disclosure for Holding Companies

942-505-50-1G The disclosures required by paragraphs 942-505-50-1 through 50-1F shall be presented for all significant subsidiaries of a holding company. Bank holding companies shall also present the disclosures required by paragraphs 942-505-50-1 through 50-1F as they apply to the holding company, except for the prompt corrective action disclosure required by paragraph 942-505-50-1(d). Savings institution holding companies are not subject to regulatory capital requirements separate from those of their subsidiaries. Bank holding companies are not subject to the prompt corrective action provisions of the Federal Deposit Insurance Act.

· > Credit Unions

942-505-50-1H Noncompliance with regulatory capital requirements could materially affect the economic resources of a credit union and claims to those resources. Accordingly, at a minimum, a credit union or corporate credit union within the scope of paragraph 942-10-15-2 shall disclose all of the following in notes to financial statements:

- a. A description of the regulatory requirements for both of the following:
 1. Capital adequacy purposes
 2. Prompt corrective action.
- b. The actual or possible material effects of noncompliance with those requirements.
- c. Whether the entity is in compliance with the regulatory capital requirements, including, as of each balance sheet date presented, all of the following with respect to quantitative measures:
 1. Whether the institution meets the definition of a complex credit union as defined by the National Credit Union Administration

2. The institution's required and actual capital ratios and required and actual capital amounts

3. Factors that may significantly affect capital adequacy, such as potentially volatile components of capital, qualitative factors, or regulatory mandates.

d. As of each balance sheet date presented, the prompt corrective action category in which the institution was classified.

e. If, as of the most recent balance-sheet date or date financial statements are issued or are available to be issued (as discussed in Section [855-10-25](#)), the institution is not in compliance with capital adequacy requirements, the possible material effects of such conditions on amounts and disclosures in the financial statements.

f. Whether after the balance sheet date and before the financial statements are issued or are available to be issued (as discussed in Section [855-10-25](#)), management believes any events or changes have occurred to change the institution's prompt corrective action category.

Noncompliance with regulatory capital requirements may, when considered with other factors, raise substantial doubt about a credit union's ability to continue as a going concern for a reasonable period of time.

942-505-50-2 Disclosures shall also be presented for any state-imposed capital requirements that are more stringent than or significantly different from federal requirements.

· > Branches of Foreign Institutions

942-505-50-3 Branches of foreign financial institutions, while they do not have regulatory capital requirements, may be required to maintain capital-equivalent deposits and, depending on facts and circumstances, supervisory-mandated reserves. These requirements carry regulatory uncertainty of a nature similar to that posed by the regulatory capital rules in that failure to meet such mandates can result in supervisory action and ultimately going-concern questions. Accordingly, branches shall disclose such requirements. Quantitative disclosure shall be made, highlighting mandated deposit or reserve requirements and actual balances in those reserve or deposit accounts at the balance sheet date(s) reported.

942-505-50-4 Further, if an uncertainty exists related to a parent that creates a higher-than-normal risk as to the viability of a branch or subsidiary, then that matter shall be adequately disclosed in the notes to the financial statements of the branch or subsidiary. If factors do not exist that indicate a higher than normal amount of risk or uncertainty regarding parent capital and other regulatory matters, then disclosures of capital and supervisory issues of the parent would not be required.

· > Trust Operations

942-505-50-5 If an institution is subject to capital requirements based on trust assets under management, a discussion of the existence of these requirements, ramifications of failure to meet them, and a measurement of the entity's position relative to imposed requirements shall be disclosed in the notes to the financial statements.

942-505-50-6 [Paragraph not used.](#)

942-505-50-7 [Paragraph not used.](#)

942 Financial Services—Depository and Lending

605 Revenue Recognition

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

The following table identifies the changes made to this Subtopic.				
942-605-00-1	Paragraph	Action	Accounting Standards Update	Date
	942-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	942-605-05-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	942-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	942-605-25-1 through 25-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 942-605-05-1** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 942-605-05-2** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

942-605-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure

eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

 [Related Proposed ASUs](#)

- 942-605-25-1** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 942-605-25-2** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 942-605-25-3** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

942 Financial Services—Depository and Lending
720 Other Expenses

00 Status

 **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-720-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-720-05-2	Amended	Maintenance Update 2014-07 	03/17/2014

05 Overview and Background

 **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-720-05-1 This Subtopic addresses the recognition of assessments by the Financing Corporation.

942-720-05-2 On September 30, 1996, the Deposit Insurance Funds Act of 1996 was enacted. The Act authorizes the Financing Corporation (FICO) to impose an assessment on institutions with deposits assessable by the Deposit Insurance Fund to share in the cost of financing outstanding FICO bonds.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

942-720-15-1 The guidance in this Subtopic applies to all depository institutions that are subject to Financing Corporation assessment.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

942-720-25-1

A depository institution shall report the Financing Corporation (FICO) assessment as a period cost as incurred.

942 Financial Services—Depository and Lending

740 Income Taxes

00 Status

i

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-740-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-740-15-2	Amended	Accounting Standards Update No. 2018-06	05/07/2018
942-740-25-1	Amended	Accounting Standards Update No. 2015-01	01/09/2015
942-740-45-1	Superseded	Accounting Standards Update No. 2018-06	05/07/2018

05 Overview and Background

i

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-740-05-1

This Subtopic provides recognition, measurement, and disclosure guidance for deferred tax assets and liabilities of stock and mutual savings and loan associations and mutual savings banks.

- 942-740-05-2** Regulatory authorities require both stock and mutual savings and loan associations to appropriate a portion of earnings to general reserves and to retain the reserves as a protection for depositors. The terms general reserves and reserve for bad debts are used in the context of the special meaning these terms have in regulatory pronouncements and in the U.S. Internal Revenue Code. Provisions of the U.S. Internal Revenue Code permit a savings and loan association to deduct an annual addition to a reserve for bad debts in determining taxable income, subject to certain limitations. This annual addition permitted by the Internal Revenue Code generally differs significantly from the bad debt experience upon which determination of pretax accounting income is based. Thus, taxable income and pretax accounting income of an association usually differ.
- 942-740-05-3** Although a general reserve determined according to requirements of the regulatory authorities is not directly related to a reserve for bad debts computed according to provisions of the U.S. Internal Revenue Code, the purposes and restrictions of each reserve are similar. Amounts of bad debt deductions for income tax purposes are includable in taxable income of later years only if the bad debt reserves are used subsequently for purposes other than to absorb bad debt losses.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 942-740-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#), with specific entity exceptions noted below.

> Entities

- 942-740-15-2** The guidance in this Subtopic is applicable to stock and mutual savings and loan associations and mutual savings banks.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Deferred Tax Liability

942-740-25-1 As described in paragraph [740-10-25-3](#), a deferred tax liability shall not be recognized for the following types of temporary differences unless it becomes apparent that those temporary differences will reverse in the foreseeable future:

- a. Bad debt reserves for tax purposes of U.S. savings and loan associations (and other qualified thrift lenders) that arose in tax years beginning before December 31, 1987 (that is, the base-year amount).

However, if circumstances indicate that the association is likely to pay income taxes, either currently or in later years, because of known or expected reductions in the bad debt reserve, income taxes attributable to that reduction shall be accrued as tax expense of the current period.

942-740-25-2 Paragraph [740-30-25-5](#) requires that a deferred tax liability be recognized for the following types of taxable temporary differences:

- a. Bad debt reserves for tax purposes of U.S. savings and loan associations (and other qualified thrift lenders) that arise in tax years beginning after December 31, 1987 (that is, amounts in excess of the base-year amount).

> Deferred Tax Asset

942-740-25-3 The entity shall assess the need for a valuation allowance for deferred tax assets related to a savings and loan association's bad-debt reserve for financial reporting.

942-740-25-4 Paragraph [740-10-30-18](#) identifies four sources of taxable income to be considered in determining the need for and amount of a valuation allowance for those and other deferred tax assets. One source is future reversals of temporary differences. Future reversals of taxable differences for which a deferred tax liability has not been recognized based on the exceptions cited in paragraph [740-10-25-3](#), however, shall not be considered. Another source is future taxable income exclusive of reversing temporary differences and carryforwards.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Deferred Tax Assets and Liabilities

- 942-740-35-1** The temporary difference under current U.S. federal tax law for the base-year tax reserve of a savings and loan association is one of the exceptions to comprehensive recognition of deferred taxes under Topic 740. If a deferred tax liability is not recognized for that temporary difference, a savings and loan association shall not anticipate future percentage-of-taxable-income bad-debt deductions in determining the deferred tax liability for other types of temporary differences. See paragraphs 740-10-25-3, 740-10-25-37, 740-10-30-5, and 740-10-30-9.
- 942-740-35-2** The base-year tax reserve is the income tax bad-debt reserve that arose in tax years beginning before December 31, 1987 as provided by the income tax law changes enacted in 1986. The excess of a tax bad-debt reserve over the base-year reserve is a temporary difference for which deferred taxes must be provided.
- 942-740-35-3** Under Topic 740, deferred tax assets and liabilities for temporary differences shall be measured by applying the enacted tax rate expected to apply to taxable income in the periods in which the deferred tax asset or liability is expected to be realized or settled. It is not permissible to reduce a deferred tax liability so determined by anticipated future percentage-of-taxable-income bad-debt deductions for the same reasons that other special deductions may not be anticipated as set forth in paragraphs 740-10-25-37 and 740-10-30-13. However, for associations for which graduated tax rates are a factor, the existence of the percentage-of-taxable-income bad-debt deduction may result in a lower average graduated tax rate being applied in measuring deferred taxes if it results in taxable income falling into a lower tax rate bracket.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

942-740-45-1 Paragraph superseded by Accounting Standards Update No. 2018-06.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Deferred Tax Liability

942-740-50-1 All of the following information shall be disclosed whenever a deferred tax liability is not recognized because of the exceptions to comprehensive recognition of deferred taxes related to a savings and loan association's bad-debt reserve for financial reporting:

- a. A description of the types of temporary differences for which a deferred tax liability has not been recognized and the types of events that would cause those temporary differences to become taxable
- b. The cumulative amount of each type of temporary difference
- c. The amount of the deferred tax liability for temporary differences (that is, the bad-debt reserve for tax purposes of a U.S. savings and loan association or other qualified thrift lender) that is not recognized in accordance with the provisions of paragraphs [740-10-25-3](#), [740-30-25-5](#), [740-30-25-18](#), and [942-740-25-1 through 25-3](#).

942-740-50-2 The disclosure requirements set forth in the preceding paragraph also apply to a parent entity of a savings and loan association accounting for that investment either through consolidation or by the equity method.

942 Financial Services—Depository and Lending

805 Business Combinations

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-805-S00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-805-S30-1	Superseded	Accounting Standards Update No. 2012-03	08/27/2012
942-805-S55-1	Superseded	Accounting Standards Update No. 2012-03	08/27/2012
942-805-S99-1	Superseded	Accounting Standards Update No. 2010-22	08/19/2010

S30 Initial Measurement

General Note:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

942-805-S30-1

[Paragraph superseded by Accounting Standards Update No. 2012-03.](#)

S55 Implementation Guidance and Illustrations

- General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

942-805-S55-1 Paragraph superseded by Accounting Standards Update No. 2012-03.

S99 SEC Materials

- General Note:** As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

942-805-S99-1 Paragraph superseded by Accounting Standards Update No. 2010-22.

942 Financial Services—Depository and Lending

810 Consolidation

00 Status

- General Note:** The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-810-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Liquidating Bank	Superseded	Accounting Standards Update No. 2013-07	04/22/2013
942-810-05-1	Amended	Accounting Standards Update No. 2013-07	04/22/2013
942-810-45-2	Superseded	Accounting Standards Update No. 2013-07	04/22/2013

05 Overview and Background

i General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-810-05-1 This Subtopic provides presentation and disclosure guidance concerning trust-preferred securities.

15 Scope and Scope Exceptions

i General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

942-810-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#).

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

i Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Trust-Preferred Arrangements

942-810-45-1 In the typical trust-preferred arrangement, the bank holds no variable interest in the trust, and therefore, cannot be the trust's primary beneficiary. If the bank does not consolidate the trust, the

bank or holding company shall report its debt issued to the trust and an equity-method investment in the common stock of the trust.

942-810-45-2 [Paragraph superseded by Accounting Standards Update No. 2013-07.](#)

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Trust-Preferred Securities

942-810-55-1 Trust-preferred securities have been issued by banks for a number of years due to favorable regulatory capital treatment. Various trust-preferred structures have been developed involving minor differences in terms. Under the typical structure, a bank holding company first organizes a business trust or other special-purpose entity. This trust issues two classes of securities: common securities, all of which are purchased and held by the bank holding company, and trust-preferred securities, which are sold to investors. The trust's only assets are deeply subordinated debentures of the corporate issuer, which the trust purchases with the proceeds from the sale of its common and preferred securities. The bank holding company makes periodic interest payments on the subordinated debentures to the business trust, which uses these payments to pay periodic dividends on the trust-preferred securities to the investors. The subordinated debentures have a stated maturity and may include an embedded call option. Most trust-preferred securities are subject to a mandatory redemption upon the repayment of the debentures.

942-810-55-2 Under the provisions of Topic [810](#), a bank or holding company that sponsored a structure described in the preceding paragraph shall not consolidate the trust because the trust is a variable interest entity (VIE) and the bank or holding company is not the primary beneficiary of that VIE.

S00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-810-S00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	942-810-S99-1	Amended	Accounting Standards Update No. 2012-03	08/27/2012

S25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Consolidation of a Subsidiary When a Decision Requiring Divestiture Has Been Made or Is Likely to Be Necessary

942-810-S25-1 See paragraph [810-10-S99-2](#), Regulation S-X Rule 3A-02(c), for rules pertaining to consolidation of a subsidiary of a registrant subject to the Bank Holding Company Act of 1956 when a decision requiring divestiture has been made or is likely to be necessary.

S40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Certain Transfers of Nonperforming Assets

942-810-S40-1 See paragraph [942-810-S99-1](#), SAB Topic 5.V, for SEC Staff views on accounting for certain transfers of nonperforming assets.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 5.V, Certain Transfer of Non-performing Assets

942-810-S99-1 The following is the text of SAB Topic 5.V, Certain Transfer of Non-performing Assets.

Facts: A financial institution desires to reduce its nonaccrual or reduced rate loans and other nonearning assets, including foreclosed real estate (collectively, "nonperforming assets"). Some or all of such nonperforming assets are transferred to a newly-formed entity (the "new entity"). The financial institution, as consideration for transferring the nonperforming assets, may receive (a) the cash proceeds of debt issued by the new entity to third parties, (b) a note or other redeemable instrument issued by the new entity, or (c) a combination of (a) and (b). The residual equity interests in the new entity, which carry voting rights, initially owned by the financial institution, are transferred to outsiders (for example, via distribution to the financial institution's shareholders or sale or contribution to an unrelated third party).

The financial institution typically will manage the assets for a fee, providing necessary services to liquidate the assets, but otherwise does not have the right to appoint directors or legally control the operations of the new entity.

FASB ASC Topic [860](#), Transfers and Servicing, provides guidance for determining when a transfer of financial assets can be recognized as a sale. The interpretive guidance provided in response to Questions 1 and 2 of this SAB does not apply to transfers of financial assets falling within the scope of FASB ASC Topic [860](#). Because FASB ASC Topic [860](#) does not apply to distributions of financial assets to shareholders or a contribution of such assets to unrelated third parties, the interpretive guidance provided in response to Questions 1 and 2 of this SAB would apply to such conveyances.

Further, registrants should consider the guidance contained in FASB ASC Topic [810](#), Consolidation, in determining whether it should consolidate the newly-formed entity.

Question 1: What factors should be considered in determining whether such transfer of nonperforming assets can be accounted for as a disposition by the financial institution?

Interpretive Response: The staff believes that determining whether nonperforming assets have been disposed of in substance requires an assessment as to whether the risks and rewards of ownership have been transferred. FN38 The staff believes that the transfer described should not be accounted for as a sale or disposition if (a) the transfer of nonperforming assets to the new entity provides for recourse by the new entity to the transferor financial institution, (b) the financial institution directly or indirectly guarantees debt of the new entity in whole or in part, (c) the financial institution retains a participation in the rewards of ownership of the transferred assets, for example through a higher than normal incentive or other management fee arrangement, FN39 or (d) the fair value of any material non-cash consideration received by the financial institution (for example, a note or other redeemable instrument) cannot be reasonably estimated. Additionally, the staff believes that the accounting for the transfer as a sale or disposition generally is not appropriate where the financial institution retains rewards of ownership through the holding of significant residual equity interests or where third party holders of such interests do not have a significant amount of capital at risk.

FN38 [Original footnote removed by SAB 114.]

FN39 The staff recognizes that the determination of whether the financial institution retains a participation in the rewards of ownership will require an analysis of the facts and circumstances of each individual transaction. Generally, the staff believes that, in order to conclude that the financial institution has disposed of the assets in substance, the management fee arrangement should not enable the financial institution to participate to any significant extent in the potential increases in cash flows or value of the assets, and the terms of the arrangement, including provisions for discontinuance of services, must be substantially similar to management arrangements with third parties.

Where accounting for the transfer as a sale or disposition is not appropriate, the nonperforming assets should remain on the financial institution's balance sheet and should continue to be disclosed as nonaccrual, past due, restructured or foreclosed, as appropriate, and the debt of the new entity should be recorded by the financial institution.

Question 2: If the transaction is accounted for as a sale to an unconsolidated party, at what value should the transfer be recorded by the financial institution?

Interpretive Response: The staff believes that the transfer should be recorded by the financial institution at the fair value of assets transferred (or, if more clearly evident, the fair value of assets received) and a loss recognized by the financial institution for any excess of the net carrying value FN40 over the fair value. FN41 Fair value is the amount that would be realizable in an outright sale to an unrelated third party for cash. FN42 The same concepts should be applied in determining fair value of the transferred assets, i.e., if an active market exists for the assets transferred, then fair value is equal to the market value. If no active market exists, but one exists for similar assets, the selling prices in that market may be helpful in estimating the fair value. If no such market price is available, a forecast of expected cash flows, discounted at a rate commensurate with the risks involved, may be used to aid in estimating the fair value. In situations where discounted cash flows are used to estimate fair value of nonperforming assets, the staff would expect that the interest rate used in such computations will be substantially higher than the cost of funds of the financial institution and appropriately reflect the risk of holding these nonperforming assets. Therefore, the fair value determined in such a way will be lower than the amount at which the assets would have been carried by the financial institution had the transfer not occurred, unless the financial institution had been required under GAAP to carry such assets at market value or the lower of cost or market value.

FN40 The carrying value should be reduced by any allocable allowance for credit losses or other valuation allowances. The staff believes that the loss recognized for the excess of the

net carrying value over the fair value should be considered a credit loss and this should not be included by the financial institution as loss on disposition.

FN41 The staff notes that FASB ASC paragraph [942-810-45-2](#) (Financial Services—Depository and Lending Topic) provides guidance that the newly created "liquidating bank" should continue to report its assets and liabilities at fair values at the date of the financial statements.

FN42 FASB ASC paragraph [845-10-30-14](#) (Nonmonetary Transactions Topic) provides guidance that an enterprise that distributes loans to its owners should report such distribution at fair value.

Question 3: Where the transaction may appropriately be accounted for as a sale to an unconsolidated party and the financial institution receives a note receivable or other redeemable instrument from the new entity, how should such asset be disclosed pursuant to Item III C, "Risk Elements," of Industry Guide 3? What factors should be considered related to the subsequent accounting for such instruments received?

Interpretive Response: The staff believes that the financial institution may exclude the note receivable or other asset from its Risk Elements disclosures under Guide 3 provided that: (a) the receivable itself does not constitute a nonaccrual, past due, restructured, or potential problem loan that would require disclosure under Guide 3, and (b) the underlying collateral is described in sufficient detail to enable investors to understand the nature of the note receivable or other asset, if material, including the extent of any over-collateralization. The description of the collateral normally would include material information similar to that which would be provided if such assets were owned by the financial institution, including pertinent Risk Element disclosures.

The staff notes that, in situations in which the transaction is accounted for as a sale to an unconsolidated party and a portion of the consideration received by the registrant is debt or another redeemable instrument, careful consideration must be given to the appropriateness of recording profits on the management fee arrangement, or interest or dividends on the instrument received, including consideration of whether it is necessary to defer such amounts or to treat such payments on a cost recovery basis. Further, if the new entity incurs losses to the point that its permanent equity based on GAAP is eliminated, it would ordinarily be necessary for the financial institution, at a minimum, to record further operating losses as its best estimate of the loss in realizable value of its investment. FN43

FN43 Typically, the financial institution's claim on the new entity is subordinate to other debt instruments and thus the financial institution will incur any losses beyond those incurred by the permanent equity holders.

942 Financial Services—Depository and Lending

825 Financial Instruments

00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

942-825-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
942-825-50-2	Amended	Maintenance Update 2021-02 	01/19/2021
942-825-50-2	Amended	Accounting Standards Update No. 2016-20	12/21/2016
942-825-50-2	Amended	Accounting Standards Update No. 2016-01	01/05/2016
942-825-50-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

 **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

942-825-05-1 This Subtopic addresses financial institution disclosure matters for financial instruments with off-balance-sheet credit risk.

15 Scope and Scope Exceptions

 **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 942-825-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [942-10-15](#), with specific instrument exceptions noted below.

> Instruments

- 942-825-15-2** The guidance in this Subtopic does not apply to the following instruments:
- Financial instruments within the scope of Topic [815](#).

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Off-Balance-Sheet Credit Risk

- 942-825-50-1** Off-balance-sheet credit risk refers to credit risk on off-balance-sheet loan commitments, standby letters of credit, financial guarantees, and other similar instruments, except for instruments within the scope of Topic [815](#). For financial instruments with off-balance-sheet credit risk, except for those instruments within the scope of that Topic, an entity shall disclose all of the following information:
- The face or contract amount
 - The nature and terms, including, at a minimum, a discussion of the:
 - Credit and market risk of those instruments
 - Cash requirements of those instruments
 - Related accounting policy pursuant to Subtopic [235-10](#).
 - The entity's policy for requiring collateral or other security to support financial instruments subject to credit risk, information about the entity's access to that collateral or other security, and the nature and a brief description of the collateral or other security supporting those financial instruments.
- 942-825-50-2** Examples of activities and financial instruments with off-balance-sheet credit risk include obligations for loans sold with recourse (with or without a floating-interest-rate provision), fixed-rate and variable-rate loan commitments, financial guarantees, note issuance facilities at floating rates, and letters of credit. An entity (guarantor) may "lend" its creditworthiness to another party (borrower) for a fee, thereby enhancing that other party's ability to borrow funds. The guarantor may provide a general guarantee of repayment of the borrower's obligation or may pledge specific assets that may be claimed by the creditor in the event of the borrower's default. A loan guarantee typically involves two sets of fees: an initial fee due at the consummation of the transaction and a continuing (annual) fee

due over the term of the guarantee. A guarantor may be required to disclose and account for a financial guarantee under Topic [460](#) on guarantees. See Topic [815](#) on derivatives and hedging for guarantees accounted for as a derivative.